

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.
Complainant

vs.

FLEXPORT INTERNATIONAL LLC
Respondent

**PELOTON INTERACTIVE, INC.'S
REPLY BRIEF TO
FLEXPORT INTERNATIONAL LLC'S REPLY BRIEF**

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Defined Terms	
Appendix 1	Appendix 1 to Peloton's Third Suppl. Response to Interrogatories.
CX_-0000	Citation to Peloton Appendix
Exhibit A	Exhibit A to the Amended Complaint listing each charge for which reparations are sought in this proceeding
FLEX-ID	Flexport unique shipment identifiers
Flexport PFF	Flexport's Proposed Findings of Fact, Dkt. 89
FRPFF	Flexport's Responses to Peloton's Proposed Findings of Fact, Dkt. 90
Initial Br.	Peloton's Initial Brief, Dkt. 79
Opp. Br.	Flexport's Opposition Brief, Dkt. 88
Peloton PFF	Peloton's Proposed Findings of Fact, Dkt. 80
PRPFF	Peloton's Responses to Flexport's Proposed Findings of Fact
RX0000	Citation to Flexport's Appendix
Supplemental Exhibit 1	Flexport's supplemented version of Peloton's Appendix 1, submitted in Flexport's Appendix as RX0006

¹ Unless otherwise defined herein, all capitalized terms are defined in accordance with the index on pages ix to xi of Peloton's Initial Brief, Dkt. 79.

Flexport International LLC’s (“Flexport”) “Reply” Brief, Dkt. 88 (“Opp. Br.” Or the “Opposition”) is long on rhetoric but fatally short on citation or analysis to refute the substantial evidence and law presented in Peloton Interactive, Inc.’s (“Peloton”) Initial Brief, Dkt. 79 (“Initial Br.”), which establishes that the internal practices and regulations on which Flexport relied in handling the delivery of Peloton cargo violated the Shipping Act of 1984, 46 U.S.C. § 40101, et seq. (2019) (the “Shipping Act”) and the Federal Maritime Commission’s (“FMC” or “Commission”) regulations. Flexport also fails to refute that these violations directly caused Peloton to suffer damages exceeding \$30 million in improperly assessed Detention and Demurrage (D&D) and related charges. Peloton respectfully submits this reply brief and its separate response to Flexport’s Proposed Findings of Fact (“Peloton RPFF”) for the purpose of addressing the misstatements and mischaracterizations in those papers, and in further support of Peloton’s request for reparations to remedy Flexport’s unlawful conduct and to make Peloton whole.

I. INTRODUCTION

To the extent it rests on hyperbole, unsupported denials, and *ipse dixit*, Flexport’s opposition brief is consistent with its approach throughout this proceeding. But Flexport’s diversionary tactics—however egregious as they have been in this case—cannot cover for Flexport’s inability to support its conduct or its affirmative defenses to Peloton’s challenges under the applicable law and FMC precedent. Flexport’s opposition wholly fails to address the key issue of whether its practices were reasonable under the Shipping Act or in compliance with FMC regulations at any point—notably, Flexport’s opposition barely mentions the Shipping Act at all.

For the reasons set out in Peloton’s Initial Brief, and as further detailed below, the Presiding Officer should hold Flexport accountable for its unlawful practices and the harm those practices caused to both Peloton and the public, and award Peloton reparations for the \$33.7 million in unjustified D&D charges Flexport imposed on Peloton during a critical period in international

shipping. This is not a theoretical amount; it is undisputed that Peloton actually paid this multi-million dollar sum in D&D charges assessed to it by Flexport, without any effort by Flexport to assess responsibility for those charges. Peloton's damages are supported by its detailed container-by-container analysis, which provides a robust accounting of the overcharges at issue and is validated by expert opinion. But while Flexport challenges the procedural propriety of that analysis and the expert's supplemental report, again notably, Flexport fails to counter the analysis with any expert analysis of its own.

Peloton did not expect to spend time in reply on fundamental FMC policy considerations.² But Flexport's opposition brief so fails to engage with FMC guidelines and precedents, or to apply them to the record in this case, that a foundational discussion is necessary not just for Peloton's case but to underscore the public purpose the Shipping Act and its underlying principles aim to serve.

² Since 1961, the FMC has rightly held an interest in unchecked or improper conduct by the entities it is charged to monitor as such conduct directly affects American exporters and the American consumer of imported goods. By engaging in its congressionally-mandated activities of investigating complaints, enforcing compliance, and issuing guidance, the FMC not only deters misconduct but also reassures stakeholders that the maritime sector operates under clear, enforceable standards. The lifeblood of this authority originates from The Shipping Act of 1984.

The Ocean Shipping Reform Act of 2022 ("OSRA 2022") and the 2024 Final Rule on Detention and Demurrage Billing Requirements ("D&D Billing Requirements") are recent policy advancements that developed from a bipartisan recognition that ocean carriers and related regulated entities had exploited the pandemic at the expense of shippers and consumers. OSRA 2022, Pub. L. No. 117-146 (June 16, 2022); D&D Billing Practices, 89 Fed. Reg. 14330 (Feb. 26, 2024); *See* 168 Cong. Reg. S1887-02 (Mar. 31, 2022) (discussing the policy behind enactment of OSRA 2022); 168 Cong. Rec. H5460-02 (June 13, 2022) (same). These measures emerged with the *goal* of restoring balance and accountability within the maritime industry. 168 Cong. Rec. S1887-02 (comments of Sen. Klobuchar and others on the purpose of introducing OSRA 2022). Despite the new rules, adjudications over unreasonable charges have increased, proving that "commercial solutions" offered by regulated interests have not resolved the issue. *See also* § VI, *infra*. (Conclusion). Private party suits like this one are vital in restoring the power balance in shipping.

To wit: the FMC has made plain that the Incentive Principle applies to *any* regulated entities of the FMC, but Flexport continues to treat that bedrock principle as a foreign concept. Strict enforcement of the Incentive Principle is necessary here to deter Flexport and other regulated interests from imposing blanket charges without contemporaneous review or justification (e.g., without determining whether actual delays or failures on the part of the shipper led to the charges). Flexport has completely disregarded the Incentive Principle in both its business operations and throughout these proceedings. In doing so, Flexport not only caused Peloton enormous damage, it also challenges the Commission's most basic authority over maritime commerce.

Flexport can protest all it wants, but Peloton's claim is not only well-pleaded and viable, it is deeply rooted in established principles encouraging fair, efficient, and lawful transportation of cargo. Peloton's claims have remained clear and supported through sixteen months of litigation, two mediations, eleven depositions, and hundreds of thousands of produced documents. Flexport knows it cannot defend against this extensive and clear record of violations, as laid out in Peloton's Initial Brief, and thus it resorts to its now well-worn refrain that it just doesn't know what Peloton is talking about. The Presiding Officer should give no credence to this refrain, and should hold Flexport accountable for its violations of the Shipping Act and the \$33.7 million in damages it caused to Peloton as a result.

II. SUMMARY OF ARGUMENT

The record of Flexport's conduct is unequivocal: Flexport systematically imposed detention and demurrage ("D&D") charges on Peloton without oversight, justification, or any meaningful consideration of fault, all while treating the Incentive Principle as a mere "guideline" not worthy of Flexport's consideration. Initial Br. at 26. Flexport's conduct is emblematic of a calculated and persistent disregard for the Shipping Act and FMC regulatory standards. Rather than engaging with the statutory and regulatory framework, Flexport defaulted to a profit-driven

model, originating D&D charges under its own FMC tariff and applying them indiscriminately—even in circumstances wholly outside Peloton’s control, such as chassis shortages, port congestion, and inland carrier delays. *See* Initial Br. § V.A.4.d.

Peloton’s Initial Brief established, with detailed shipment-level evidence and expert analysis, at least four distinct ways in which Flexport violated the Interpretive Rule and the Incentive Principle through unjust and unreasonable practices. Flexport’s Opposition Brief failed to rebut these showings, either by ignoring the issues entirely, offering only conclusory, generalized arguments without reference to specific evidence, or conceding liability:

- **Flexport originated D&D charges under its own FMC tariff to maximize revenue (Initial Br. § V.A.4.b):** Peloton proved that Flexport originated D&D charges under its own tariff, systematically originating charges for profit rather than incentivizing the movement of cargo. Flexport concedes that it originated and charged Peloton D&D based solely on its Rules Tariff, regardless of underlying carrier charges or reason for delay. *See* Opp. Br. at 16 (“Peloton was to be responsible for *all* D&D charges, at the rates set forth in the Tariff.”) (emphasis added).³ Flexport never refutes that it used D&D charges to generate profit. *See* FRPFF 95, 328.
- **Flexport failed to provide supporting evidence for substantial D&D charges originated under its tariff (Initial Br. § V.A.4.c):** Peloton established, using Flexport’s own shipment files, that Flexport either cannot or has not produced

³ *See also* Respondent’s Response to Complainant’s Proposed Findings of Fact (“FRPFF”), Dkt. 90 at 40, FRPFF 90 (“Under Flexport’s rules tariff, Flexport does not pass through D&D charges from service providers. Instead, it applies its own D&D rates and charges to customers like Peloton...**RESPONSE: Admitted.**”); FRPFF 104, FRPFF 250 (“Flexport ‘hardcoded’ its tariff into CORE, which automatically calculated the demurrage and detention application to shipments based on Flexport’s tariff, the number of free days, NRAs, and NSAs...**RESPONSE: Admitted.**”).

underlying data or documentation for millions in D&D charges. Initial Br. at 30. Flexport repeatedly contends that the Smith Supplemental Report was limited to “event” terms in assessing D&D responsibility. This assertion is fundamentally misleading. The so-called “event” terms were not mere search criteria; they served as structured categories to organize the specific, documented reasons for shipment delays, as directly communicated by Flexport’s own operations team. The analysis was rooted in verbatim, contemporaneous communications and operational records—not in generalized or inferential data. By relying on Flexport’s actual documentation and communications, Smith’s analysis provides a robust, evidence-based determination of responsibility for D&D charges, directly refuting Flexport’s attempt to minimize the rigor and factual foundation of Peloton’s assessment. Flexport’s Opposition Brief only bolsters this point by demonstrating how Flexport’s incomplete and ambiguous shipping records obstructed Peloton’s ability to verify or contest D&D charges in real time. *See infra* § V.F.3.

- **Flexport automatically and indiscriminately charged Peloton for D&D without reason, transparency, or verification—including for D&D caused by low chassis availability, port congestion, and inland carrier delays (Initial Br. § V.A.4.d):** Peloton demonstrated, through shipment-level expert analysis, how Flexport indiscriminately charged Peloton millions in D&D. These charges included delays for: Chassis shortages—when Flexport maintained control for sourcing chassis (Initial Br. at 45-47); port congestion—when Flexport was responsible for navigating port congestion to remove Peloton’s containers (Initial Br. at 47-49); and inland carrier delays—when Flexport’s sub-contractors could not pick-up, deliver, or return

containers (Initial Br. at 49-50). Flexport failed to identify a single charge assessed due to Peloton's fault in these circumstances, nor did it provide any justification for the charges, instead asserting—without factually specific evidence—that Peloton was responsible for all delays. *See* Opp. Br. 5-9.

- **Flexport pursued bookings at all costs despite well-known pandemic challenges, to the detriment of both Peloton and consumers (Initial Br. § V.A.4.e):** Peloton demonstrated how Flexport followed the “Disincentive Principle” by prioritizing booking rather than the flow of cargo, resulting in D&D charges for delays that were foreseeable and unavoidable due to industry-wide disruptions. *See* Initial Br. at 52-56, 57, 59. The Initial Brief documented Flexport's failure to adjust its practices or provide relief in light of these challenges and included evidence of Flexport's communications and operational decisions that exacerbated harm to Peloton and the shipping public. Flexport's Opposition did not address these findings, nor offer any evidence to rebut that its practices were unreasonable.

Flexport's reply brief is notable for its silence on the central issues. It does not attempt to defend its practices as just or reasonable under the Shipping Act, nor does it offer any substantive rebuttal to Peloton's shipment-level factual record. In contrast, the evidence supporting Peloton's claims is comprehensive and unrebutted. Flexport failed to provide specific evidence to refute Peloton's Proposed Findings of Fact, neglected to support its own proposed findings with exact citations, and relied on conclusory denials and unsupported legal arguments.

Under the FMC's burden-shifting framework, once Peloton established a *prima facie* case of unjust or unreasonable practices, the burden of production shifts to Flexport to justify its conduct with specific evidence if it can. Flexport has failed to meet this burden at every turn. Its reliance

on contractual terms and published tariffs cannot shield it from the statutory requirements of reasonableness and fairness, as confirmed by Commission precedent. Its remaining ancillary, irrelevant arguments—ranging from challenges to expert qualifications, speculative assertions about audit procedures, and unfounded allegations of discovery improprieties—are red herrings that do not address the merits of Peloton’s claims. These diversions only serve to highlight Flexport’s inability to justify its conduct under the Shipping Act.

Taken together, Flexport’s egregious and systematic violations demand regulatory scrutiny and full reparations. The record compels a finding in Peloton’s favor—not only to redress the harm suffered, but to reaffirm the Commission’s commitment to fair and lawful maritime commerce. The full record supports the conclusion that Flexport’s unjust and unreasonable practices violated § 41102(c) of the Shipping Act, and the Presiding Officer should award Peloton \$33.7 million in reparations.

III. PELOTON’S PROPOSED FINDINGS OF FACT SHOULD BE ADOPTED AND FLEXPORT’S PROPOSED FINDINGS OF FACT SHOULD BE REJECTED BECAUSE THE OPPOSITION FAILED TO REBUT PELOTON’S FACTS, OR SUPPORT ITS OWN FACTS, WITH SPECIFIC EVIDENCE

A. PELOTON’S PROPOSED FINDINGS OF FACT SHOULD BE ADOPTED

The Presiding Officer should adopt Peloton’s Proposed Findings of Fact (“Peloton PFF”) filed in support of its Initial Brief because Flexport did not rebut those facts with specific evidence, thereby failing to meet the standard required by the Presiding Officer: “[e]ach proposed finding of fact that the responding party denies must be followed by an exact citation to evidence that the responding party contends will rebut the evidence the proposing party claims supports the fact.” Scheduling Order, Dkt. 19, at 3, ¶ 3. The majority of Flexport’s Proposed Findings of Fact (“Flexport PFF”) do not include an “exact citation to evidence” that directly rebuts the proposed findings of fact. Flexport either replies by simply denying without citing to any evidence to support

its denial,⁴ or it provides a conclusory, boilerplate objection such as “mischaracterizes testimony,” without any explanation as to how the testimony is mischaracterized or any citation to the record supporting Flexport’s assertion.⁵ In other instances, Flexport denies a proposed finding of fact by simply referring to an entire document⁶ without any further citation or relies on inappropriate or unsupported legal arguments.⁷ Thus, the Presiding Officer should find these PFFs unchallenged and in Peloton’s favor.

Peloton has identified five categories of deficiencies in to Flexport’s Responses to Peloton’s Proposed Findings of Fact: (1) general denial with no support proffered; (2) improper legal argument or legal conclusions; (3) no citation or support offered; (4) self-referential citations to Flexport as an authority; and (5) merely posing rhetorical questions.

- **General Denial with No Support Proffered.** With regard to the 11 examples of general denial with no support proffered,⁸ one example worth highlighting is FRPFF ¶ 393. Peloton PFF ¶ 393 states: “On May 20, 2025 Flexport made its only production in response to this order—four partial employee training videos on the topics of D&D. The four videos have a total run time of 5 minutes and 2 seconds and are obviously small portions of larger training videos on this subject. F-0143, Decl. of K. Little at 3” to which Flexport responds in RPFF ¶ 393: “Denied and move to strike the insinuation by counsel” without actually addressing any aspect of Peloton PFF ¶ 393.

⁴ See, e.g. FRPFF ¶ 18 (“Admitted insofar as Flexport is subject to the rules and regulations set by the FMC in its capacity as an NVOCC for such services. Otherwise denied.”).

⁵ See, e.g. FRPFF ¶ 192 (Admitted that the sentence is part of the deposition. Otherwise denied since there is no context and it is nonsensical.).

⁶ See, e.g. FRPFF ¶ 364 (“Denied. See Flexport’s Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.”).

⁷ See, e.g. FRPFF ¶¶ 9.

⁸ See FRPFFs ¶¶ 19, 165, 233, 274, 361, 383, 386, 429, 430, and 434.

- Improper Legal Argument or Legal Conclusions.** With regard to the 80 improper responses related to the legal argument or legal conclusions identified,⁹ one example is FRPFF ¶ 263. Peloton PFF ¶ 263 states: “As a result of these inaccuracies in CORE’s data, Peloton was compelled to proactively contact Flexport to inquire about the movement of the container, particularly when the next leg of the container’s transportation had already been arranged. B-1693-1694, Peloton 143(b)(6) Dep. Tr. 206:19-207:2.” Flexport responds, “Admitted that Peloton testified to this – and has not produced any evidence of same.” This is improper for several reasons but most critically, Flexport cannot make a blanket argument statement that “Peloton testified as to this” without pointing to where in the record this is true.
- No Citation or Support Offered.** With regard to the 69 FRPFF responses where no citation or support was offered,¹⁰ one notable example is FRPFF ¶ 209. Peloton PFF ¶ 209 states: “However, David Baitman testified that Peloton “modeled how much was being manufactured, how much was on the water, how much storage space we had, and how fast our sales were going, and we – we had to adjust. You know, there is some unexpected stuff that happens in logistics you have to adjust to it.” B-2761-2762, Baitman Dep. Tr. 153:13-154:1,” to which Flexport responded “Admitted, and supports Flexport’s position.” There

⁹ See RPFs ¶¶ 21, 23, 29, 38, 93, 132, 144, 145, 154, 162, 166, 172, 181, 188, 190, 195, 196, 203, 204, 229, 241, 252, 260, 261, 262, 263, 269, 280, 285, 286, 297, 301, 303, 309, 313, 314, 315, 316, 320, 325, 326, 327, 328, 329, 330, 342, 345, 350, 355, 356, 357, 384, 388, 389, 394, 403, 308, 309, 313, 314, 315, 316, 320, 325, 326, 327, 328, 329, 330, 342, 345, 350, 355, 356, 357, 384, 388, 389, 394, 403, 408, 409, 411, 415, 416, 418, 420, 421, 429, 451, 452, 455, 458, 460, 462, 467, 474, 479, 481, 482, 483, 484, 485.

¹⁰ See RPFs ¶¶ 34, 35, 60, 76, 77, 80, 135, 143, 161, 167, 169, 170, 172, 175, 182, 183, 191, 192, 198, 208, 209, 210, 211, 212, 213, 216, 223, 228, 231, 232, 238, 247, 249, 264, 265, 267, 270, 275, 281, 283, 291, 300, 305, 306, 321, 335, 336, 339, 341, 392, 393, 396, 401, 402, 405, 406, 413, 417, 422, 428, 432, 436, 437, 439, 440, 447, 448, 449, 450.

is no citation or additional detail added related to FRPFF ¶ 209 as to what Flexport's position is so it is pure conjecture to ascertain what Flexport means here.

- **Self-Referential Citations to Flexport as an Authority.** Concerning the 30 FRPFF responses where Flexport cites to itself as authority,¹¹ one example is RPFF ¶ 367. Peloton PFF ¶ 367 states: “To provide a complete analysis, Smith also developed search terms to identify the shipments for which Peloton appeared to bear some responsibility for the inland transportation costs, such as where there was a capacity issue at a Peloton facility, a request by Peloton to delay a delivery, or a container was not emptied and ready to return to the port. D-1663, Smith Supp. Expert Report ¶ 13.” In RPFF ¶ 367, Flexport responds: “Admitted that Mr. Smith unilaterally developed search terms. All else is denied. No container was ever identified in Mr. Smith’s analysis at all. Nor any causation established between any charge and any event. *See* Flexport’s Motion to Strike Smith’s Supplemental Report filed contemporaneously herewith.” It is not permissible for Flexport to make sweeping statements about Mr. Smith’s analysis by citing its own Motion to Strike and no other aspects of the record.
- **Merely Poses Rhetorical Questions.** Lastly, there are six FRPFF responses where instead of responding, Flexport merely poses back rhetorical questions.¹² One such example is FRPFF ¶ 299. Peloton PFF ¶ 299 states: “Roche’s company Mohawk provides port-to-door services to customers wherein Mohawk arranges for CY-CY transportation with ocean carriers under house bills of lading and subsequently arranges for drayage carriers to pick up containers and deliver them to their final destinations. D-2474, Roche Rebuttal Expert

¹¹ See FRPFFs ¶¶ 141, 157, 158, 217, 218, 219, 220, 221, 222, 359, 360, 362, 364, 365, 366, 367, 368, 370, 371, 372, 373, 374, 375, 376, 377, 378, 379, 380, 381, 478.

¹² See FRPFFs ¶¶ 280, 282, 284, 299, 323, 333.

Report ¶¶ 14-15. These port-to-door moves are subject to FMC regulation. D-2474-2475, Roche Rebuttal Expert Report ¶ 16.” In FRPFF ¶ 299, Flexport responds: “Admitted that Mr. Roche states that his company, a competitor of Flexport, provides these services. But how does he explain the CY-CY bills of lading issued for each and every shipment? Or the reference to “CY-CY” terms in the MSA?” Rather than posing procedurally inappropriate questions that do not respond to Peloton PFF ¶ 299, Flexport could have addressed its own questions in further detail with citations. Flexport’s rhetorical, non-answers are telling.

B. FLEXPORT’S PROPOSED FINDINGS OF FACT SHOULD BE REJECTED

For the same reasons, the ALJ should reject Flexport’s Proposed Findings of Fact (“Flexport PFF”) filed with the Opposition (Dkt. 88) because Flexport did not support its facts with specific evidence (Dkt. 89). *See* Scheduling Order, Dkt. 19, at 3 ¶ 3. The Flexport PFF either, in whole or in part: (1) do not contain any citations at all,¹³ (2) make legal arguments,¹⁴ (3) are unsupported by the alleged evidence proffered,¹⁵ and/or (4) misrepresent the proffered evidence.¹⁶ *See* PRPFF, filed herewith.

IV. PELOTON’S LEGAL FRAMEWORK IS UNREBUTTED

The Opposition is not supported by controlling legal authority, omits any articulation of the legal standard, and fails to address the statutory and regulatory context that is central to this proceeding. Flexport’s Table of Authorities does not cite any statutes or regulations, and references only nine cases: seven FMC cases and two federal cases that have nothing to do with maritime

¹³ *See, e.g.*, FPFF Header “a”, 1, Header “b”, Header “c”, 23, 31, 49, Header “d”.

¹⁴ *See, e.g.*, FPFF 1, 3, 4, 8, 11, 14, 30, 62.

¹⁵ *See, e.g.*, FPFF 1, 2, 5, 6, 10, 11, 12, 13, 16, 17, 18, 19, 20, 21, 22, 25, 27, 28, 29, 30, 32, 33, 34, 35, 36, 37, 38, 39, 40, 44, 45, 46, 47, 49, 53, 55, 59, 60, 61, 64, 65, 66, 67, 69, 70, 71.

¹⁶ *See, e.g.*, FPFF 2, 5, 12, 17, 18, 19, 20, 21, 28, 32, 34, 35, 37, 38, 40, 44, 45, 59, 60, 61, 64, 65, 66, 67, 69, 70, 71.

law, controlling standards, or the FMC. The Opposition is fatally flawed in not addressing the FMC legal standards that are material to this case:

- ***Shipping Act.*** Despite the Shipping Act being the central statute governing this dispute, (Initial Br. at 1, 5-6), there are scant references to specific statutory provisions, operative language, or discussion of the elements required to establish a violation under Section 41102(c). *See* Opp. Br. at 1, 2, fn 5, 78.
- ***Unjust and Unreasonable Practices.*** Flexport does not rebut the legal standard for “unjust and unreasonable practices” or address the burden-shifting framework applied by the FMC. Peloton analyzes these elements in its Initial Brief (*See* Initial Br. at 8), and Flexport does not respond.
- ***Incentive Principle.*** Flexport does not address the Interpretive Rule or the Incentive Principle. 46 C.F.R. § 545.5(c)(1). There are no arguments regarding the Incentive Principle and the two passing references to it throughout the Opposition Brief appear only in block quotes relating to other FMC cases. Opp. Br. at 10, 71. Flexport does not attempt to show its practices complied with this standard, including omitting any discussion of the requirement that D&D charges serve as financial incentives to promote freight fluidity or that Flexport’s practices met this requirement.
- ***Interpretive Rule.*** Flexport does not cite or discuss the FMC’s explanations of the Interpretive Rule on D&D (85 Fed. Reg. 29638), which discusses the Incentive Principle policy and provides further guidance on when D&D charges are reasonable. Initial Br. at 21-24. The Opposition also does not argue that the charges Flexport issued to Peloton were “reasonable” under the Interpretive Rule.

The Opposition’s deficiencies are dispositive and require finding in Peloton’s favor.

V. ARGUMENT

As it has repeatedly explained, Peloton’s claim is grounded in Flexport’s systematic failure to establish, observe, and enforce just and reasonable regulations and practices in the receipt, handling, storage, and delivery of Peloton’s cargo in violation of Section 41102(c) of the Shipping Act. The following core issues—each fundamental to Peloton’s claims and the statutory analysis—are entirely unaddressed and unchallenged in Flexport’s Opposition Brief:

- Flexport’s status as an NVOCC subject to FMC jurisdiction. *See* Initial Br. at 9-21; Peloton PFF ¶¶ 22-26.
- Flexport’s D&D assessment practices were not aligned with the Incentive Principle. *See* Initial Br. at 22-51; Peloton PFF ¶¶ 82-88.
- D&D charges were levied against Peloton without consideration of the underlying circumstances. *See* Initial Br. at 22-51; Peloton PFF ¶¶ 98-102.
- The factors outlined by Peloton demonstrate Flexport’s unreasonable practices in violation of Section 41102(c) of the Shipping Act. *See* Initial Br. at 41-52.
- Flexport’s employees were not trained on the Incentive Principle and did not conduct a meaningful review of D&D charges before invoicing Peloton. *See* Initial Br. at 37-41; Peloton PFF ¶¶ 110-111, 115.
- Flexport had an elevated duty to ensure all D&D charges were reasonable under the Shipping Act. *See* Initial Br. at 8; Peloton PFF ¶ 108.
- Flexport charged Peloton D&D when shipments could not be moved due to chassis shortages, which were neither Peloton’s fault nor within Peloton’s control. Initial Br. at 45-47; Peloton PFF ¶¶ 116-144.
- Peloton paid Flexport \$33.7 million in D&D charges. *See* Initial Br. at 4; Peloton PFF ¶ 477.

Each of these points is not only undisputed, each is extensively supported by the record, which also shows that Flexport's conduct was not isolated or sporadic, but occurred on a normal, customary, and continuous basis—resulting in the assessment of approximately \$33.7 million in D&D charges over more than 3,200 shipments. Peloton PFF ¶ 9. Flexport's blanket approach to D&D charges, failure to consider the actual causes of delay, and disregard for the Incentive Principle independently and combined constitute unreasonable practices under the Shipping Act. Flexport's reliance on contractual terms and published tariffs cannot shield it from statutory requirements of reasonableness and fairness, as confirmed by FMC precedent. *See* Final Interpretive Rule on Demurrage and Detention, Docket No. 19-05, 85 Fed. Reg. 29638, 29648 (May 18, 2020) (“Interpretive Rulemaking”) (“Ocean carriers and marine terminal operators (and ocean transportation intermediaries) do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c)”). The record further shows that Flexport's lack of transparency, incomplete document production, and failure to exercise diligence in managing Peloton's shipments created a significant information asymmetry, impeding Peloton's ability to verify or contest the charges in real time.¹⁷ As a result, Peloton has demonstrated both actual injury and proximate causation, entitling it to reparations for the losses sustained due to Flexport's unjust and unreasonable practices.

¹⁷ As discussed in this Reply Brief, Flexport's lack of transparency has carried through to this litigation, where despite insisting that it produced all CORE documents, it is clear Peloton does not have access to or possess all such documents.

A. FLEXPORT FAILED TO ESTABLISH, OBSERVE, AND ENFORCE JUST AND REASONABLE REGULATIONS AND PRACTICES IN RECEIVING, HANDLING, STORING, AND DELIVERING PROPERTY IN VIOLATION OF SECTION 41102(C) OF THE SHIPPING ACT

1. The FMC Has Jurisdiction over Flexport

Flexport concedes that the FMC has jurisdiction over Flexport as a “common carrier” and a “non-vessel operating common carrier” as defined in 46 U.S.C. § 40102(7) and (17). FRPFF ¶¶ 17-18, 50, 91. Accordingly, Flexport and Peloton agree that Flexport is a common carrier as defined by the Shipping Act and that it operated as a common carrier for the Peloton shipments at issue here (“Peloton Shipments”). *Id.* Accordingly, Flexport is subject to the FMC’s jurisdiction.

2. Flexport’s Acts Occurred on a Normal, Customary, and Continuous Basis

In its Opposition Brief, Flexport neither disputes nor refutes that it assessed Peloton approximately \$33.7 million in charges for more than 3,200 shipments between 2020 and 2022. *See, e.g.*, Initial Br. at 61-69 (discussing the Smith Expert Report and Suppl. Smith Expert Report). In fact, Flexport admits that it consistently assessed and invoiced D&D charges for Peloton’s shipments strictly according to Flexport’s published tariff, without consideration for the specific circumstances surrounding each shipment. *See* Opp. Br. at 1, 12 n. 5; Peloton PFF ¶¶ 111-113 (testimony from Flexport employees confirming it was Flexport’s policy to assess D&D charges pursuant to its own tariff—categorically assigning responsibility to Peloton regardless of the actual underlying circumstances that triggered the D&D fees). Flexport’s blanket approach to D&D according to its tariff, applied without meaningful scrutiny or consideration of circumstance, underscores Flexport’s systematic use of its tariff as a profit-generating engine, rather than as a cost-based instrument for incentivizing the movement of cargo, which is *per se* unreasonable. As noted above, the law is clear that ocean carriers cannot contractually circumvent applicable law requiring reasonable and just practices in the interest of freight fluidity.

3. The Practice or Regulation Relates to or is Connected with Receiving, Handling, Storing, or Delivering Property

Peloton's Initial Brief directly tied Flexport's practices, policies, and procedures to D&D charges against Peloton and to the movement of cargo in ocean shipping. *See* Initial Br. at 21 (*citing* the Interpretive Rule). The D&D charges at issue arise directly from Flexport's handling of Peloton's cargo and providing transportation services. *See* Initial Br. at Initial Br. at 41-50. Flexport's Brief does not directly address, nor does Flexport raise any dispute, that the D&D charges at issue arise directly from Flexport's handling of Peloton's cargo and providing transportation services.

4. Flexport's Practices Were Unreasonable Under the Shipping Act

Peloton has also established that Flexport completely disregarded the Incentive Principle when assessing D&D charges, without meaningful rebuttal from Flexport. Initial Br. at 39. Flexport's Opposition Brief is devoid of any attempt to explain how the D&D charges it assessed to Peloton were reasonable and incentivized the movement of cargo, as is required. *Cf.* Initial Br. at 22-25 (establishing the reasonableness Incentive Principle standards applicable to Section 41102(c)). The only logical conclusion from Flexport's silence, again, is that Flexport cannot offer any explanation in the face of an overwhelming record to the contrary.

Indeed, the record establishes that Flexport's sole focus was verifying the underlying carrier's *day count*, after which it indiscriminately imposed its own FMC tariff charges for D&D—without any consideration for reasonableness, or the actual circumstances impacting each shipment. Peloton PFF ¶¶ 110-114, 126, 250; Initial Br. at 34-41. The evidence is unequivocal—Flexport imposed D&D charges based on its *de facto* assumption that Peloton was responsible for the charges, disregarding any circumstances beyond Peloton's control, such as the rampant chassis shortages, terminal congestion, or unavailability of truckers during the this time period—for which

Flexport, not Peloton, actually bore responsibility. *See, e.g., Peloton PFF* ¶ 88. This mechanical and profit-driven approach exposes a blatant disregard for the fundamental regulatory standards set forth in the Shipping Act, and underscores Flexport’s intent to exploit D&D as a revenue-generating mechanism rather than a legitimate tool for incentivizing the movement of cargo.

Flexport’s consistent pattern of charging D&D without applying any analysis constitutes a clear violation of the Shipping Act—a fact Flexport does not and cannot refute. In the *TCW, Inc. v. Evergreen Shipping Agency (America) Corp.* concurring opinion, Commissioner Maffei directly criticized this very practice, underscoring the necessity for carriers to assess D&D in a manner that genuinely advances the movement of goods, not simply to maximize fees. The Commissioner wrote:

The fallacy of the Respondent’s position lies in its oversimplified presumption that detention is akin to rent. **Detention is a fee, not rent, and is distinguishable because its primary purpose is to incentivize the movement of cargo and equipment. Here, however, the Respondent’s argument unreasonably shifts the burden of all potential detention charges to the Complainant without regard for the root cause of the detention, much like a renter.** The Respondent’s interpretation of the “per diem” clause could be applied in a way that always inures to the benefit of those assessing detention (or demurrage) charges and to the disadvantage of shippers, who would be responsible for these fees even when it is impossible to return (or pick up) the shipping container for an unspecified time.

Dkt. No. 1966(I), 2025 WL 516256, at *13 (FMC Feb. 13, 2025).

Instead of meeting its regulatory obligations, Flexport reduced D&D charges to mere daily rental fees, neglecting their true purpose of incentivizing efficient cargo movement. By treating these charges as automatic and failing to assess the actual circumstances, Flexport prioritized revenue generation over fairness and compliance. Initial Br. at 28-29, 36-37. This practice led to \$33.7 million in assessed charges—funds that ultimately benefited the carrier’s bottom line rather than upholding the spirit and letter of the law. Initial Br. at 57. Such conduct epitomizes precisely what the *TCW* decision sought to prevent. *See also, Samsung Electronics America, Inc v. SM Line*

Corp., Dkt. No. 23-01, 2025 WL 2231637, at *45(ALJ May 28, 2025) (“the record shows that SM Line automatically charged SEA for demurrage and detention on all store door moves in accordance with its applicable service contract and tariff. To the extent that charges were assessed regardless of which party was at fault, the undersigned finds that SM Line engaged in an unreasonable practice.”).

a) Peloton Contracted “store door” Service

The terms of Peloton and Flexport’s arrangements for the handling of cargo are central to the allocation of responsibility for Peloton Shipments and the assessment of D&D charges. Under the parties’ arrangement, Flexport was responsible for picking up containers, moving them out of port, delivering them to Peloton, and returning them in a timely manner. Peloton PFF ¶¶ 22-24, 33, 43, 76, 341. Peloton, in turn, was responsible for receiving cargo and timely emptying containers for pickup by Flexport’s trucker pickup. Peloton PFF ¶¶ 146-147, 196. “Store door” is an accepted term in the industry, understood to mean door delivery through transport. It is interchangeable with other industry terms that mean the same thing, including “door delivered,” “port-to-door,” and “door-to-door.” CXB-3104, Roche Dep. Tr. 130:3-18; CXD-0010, Expert Report of Peloton’s Liability Expert, Richard Roche (“Roche Expert Report”), at ¶ 1.

During the relevant period, Flexport’s own deposition witnesses confirmed its obligation to provide store door service to Peloton. *See, e.g.*, CXB-0048, CXB-0051, Flexport 143(b)(6) Dep. Tr. 48:6-7, 51:2-8 (testifying that Flexport provided “end-to-end logistics support, including moving cargo” and confirmed that such support “typically involved a shipment of Peloton cargo originating in an overseas location and ending up at a Peloton warehouse or other inland location in the United States”); CXB-0859, Banaszak Dep. Tr. 105:19-22 (testifying that Flexport used the terms “port-to-door” and “door-to-door” but that those terms are driven by “door Incoterms” that include drayage and other accessorial); CXB-0054-0055, Peckham Dep. Tr. 56:7-57:4 (testifying

that “depending on what Peloton had instructed, Flexport would issue a delivery order to a trucking partner of our choosing, of Flexport’s choosing, to deliver the container and its cargo to Peloton’s designated point of delivery”). The record and the parties’ conduct make clear that “store door” terms governed their relationship for the handling of shipments. Peloton PFF ¶¶ 40-61; PRPFF ¶¶ Header “a”, 6, 10, 11.

Flexport’s argument that it “did not provide ‘store door’ service” is a post-hoc, litigation-motivated effort to evade responsibility and contradicts the mutual understanding and explicit arrangements between the parties. Opp. Br. at 11-15. The evidence demonstrates that Flexport was not only aware of its duty but willingly accepted the obligations upon being paid handsomely for freight costs (not sought here), which were central to the allocation of risk and responsibility.

Putting aside terminology, the core issue remains the responsibility for D&D charges—specifically, which party was responsible for the container remaining in port beyond the last free day for purposes of demurrage or not returning containers for purposes of detention. *See Samsung v. SM Line*, 2025 WL 2231637, at *50. Flexport relies on selective quotations from *Samsung v. SM Line*, 2025 WL 2231637, at *42, to mischaracterize Peloton’s position, suggesting that Peloton seeks to impose “strict liability” for D&D on a carrier subject to store door terms. *See, e.g.*, Opp. Br. at 71-72.¹⁸ (“The Presiding Officer outright rejected the blanket assertion that D&D cannot be assessed in store-door moves.”); PRPFF ¶ 17. To the contrary, and consistent with the law it has outlined throughout this briefing, Peloton’s position is that D&D charges must be “just and reasonable” as required by the Shipping Act and also must be assessed in accordance with the

¹⁸ It is also a curious Flexport strategy considering the complainant in that matter was successful on all counts in proving liability under the Shipping Act and the respondent did not even challenge the liability findings against in its exceptions to the Commission. The exceptions were solely based on the allocation of damages against it. *Samsung v. SM Line*, Dkt. 150 at 1.

parties' contractual allocation of responsibility. Initial Br. at 8. Where Flexport agreed but failed to provide "store door" service, Flexport should bear the resulting costs—i.e., Peloton should not be unjustly penalized for any D&D charges attributable to Flexport's failure to perform as agreed.

b) Peloton Relied on Flexport to Arrange for the Transportation of Peloton Shipments from Port to Door.

The record is undisputed that Flexport tracked Peloton's shipments from the point of origin to their ultimate destination and communicated with its underlying service providers with respect to those shipments. FRPFF ¶ 55. This is not controversial; it was Flexport's job. Peloton relied on Flexport to manage and arrange Peloton's shipments, which included contracting and the recording of documentation related to those shipments. Peloton PFF ¶¶ 42-48. Flexport was involved in every single step of the transportation process—both directly and indirectly—through its underlying service providers. Peloton PFF ¶¶ 47, 55. This included the pick up and return of containers. Peloton PFF ¶¶ 42-43, 319.

It was Flexport, not Peloton, that communicated directly with its transportation service providers (e.g., truckers and vessel carriers), regarding Peloton Shipments. CXB-0925-0926, CXB-0590, Banaszak Dep. Tr. 171:3-14, 172:21-173:5, 196:9-12; CXB-1688, Peloton 143(b)(6) Dep. Tr. 201:2-7 ("Flexport would have direct communications with the carriers and set the rates directly with their underlying carriers"). Again, this makes sense, as the service providers were Flexport's providers. Peloton was not a party to those communications, relying instead on Flexport to relay all essential information concerning its shipments, including as to free time and capacity issues. CXB-1687, Peloton 143(b)(6) Dep. Tr. 200:5-16 ("Acting in their capacity as an NVOCC, Flexport would have had and made the arrangements directly with the underlying carriers...[w]e did not interact with the underlying carriers"). For example, in one email requesting an extension of free time (*see* CXC-0097-0106, FLEXPOR 00026267), Flexport and its trucker exclusively

interacted with the carrier, Peloton is not even cc'd. *See* CXB-0227, Flexport 143(b)(6) Dep. 227:15-20 (when asked about the email CXC-0097-0106: "Q. Mr. Tanner do you think that Peloton has information on whether ZIM charged Flexport demurrage on this container? A. No. What I'm saying is Peloton may have had information that could have raised a circumstance that we could have looked into."); CXB-0226, Flexport 143(b)(6) Dep. 226:19-22 ("Q. Would Peloton's audit have information on whether ZIM charged Flexport demurrage on that container? A: No").

Indeed, Flexport itself acknowledges that Peloton lacked access to the essential details underlying these charges and had to rely exclusively on Flexport for both documentation and transparency. FRPFF ¶¶ 55, 148, 246-248. If Flexport failed to disclose or properly document the arrangements, as evidenced by gaps in the Peloton Events Download,¹⁹ Peloton was left unable to verify or challenge the substantial fees incurred. This underscores the profound information asymmetry created by Flexport's approach, and the significant disadvantage Peloton faced in seeking transparency and accountability. **Accordingly, Peloton's access to supporting documentation related to the basis of the D&D charges mandated the sharing of Flexport's controlled per shipment data.** Yet, Flexport repeatedly attempted to shift blame to Peloton for relying on Flexport's documentation establishing the reasonableness of the D&D charges.

Further, the SOP between the parties demonstrates that Flexport also knew it needed to monitor and report back to Peloton on any cargo capacity issues:

10.3.4. Flexport is cc'd in almost all delivery appointment requests with Peloton warehouses. This allows Flexport to be agile and update Peloton HQ of any capacity issues before they are aware.

¹⁹ The Peloton Events Download, also referred to as the "Shipment Files" is Flexport's production of three separate spreadsheets that provided information from Flexport's CORE system. *See* Initial Br. at x, 42; Peloton PFF ¶ 360.

CXC-0209, Banaszak Dep. Ex. 3 (Flexport and Peloton SOP § 10.3.3). The SOP makes plain that Flexport knew that it was the party responsible for updating “Peloton HQ of any capacity issues before they are aware.” CXC-0209, Banaszak Dep. Ex. 3 (Flexport and Peloton SOP § 10.3.4).

c) Flexport Did Not Exercise Diligence in Handling Peloton’s Shipments

The record establishes that Flexport charged D&D pursuant to its tariff and tariff rates. *See, e.g.,* CXB-0154, CXB-0162, CXB-0171, Flexport 143(b)(6) Dep. Tr. 154:6-11, 162:6-12, 171:20-22. Flexport originated D&D charges under its own tariff to maximize additional revenue, and the tariff charges were automatic. Initial Br. at 26-29. When addressing its tariff, Flexport merely states that “[a]s set forth above, the MSAs then specifically set forth the free time for detention and demurrage and that the charges for detention and demurrage will be as set forth in Flexport’s Rules Tariff. The NRAs and bills of lading, as well as the publicly-available Rules Tariffs, clearly set forth that Peloton was to be responsible for all D&D charges, at the rates set forth in the Tariff. RX142-RX187 (Flexport Tariffs).” Opp. Br. at 16. But Flexport’s contractual agreements and published tariffs do not supersede or modify its regulatory responsibilities under the Shipping Act—Flexport still must act reasonably, and still must comply with its legal obligations.

The existence of a contract does not automatically render tariff provisions reasonable, nor carriers and intermediaries allowed to circumvent the law by agreement. *TPG Pressure, Inc. v. Omni Logistics LLC and Epic Freight Solutions LLC*, Dkt. No. 22-31, 2024 WL 4226354, at *29 (ALJ Sept. 12, 2024) (disagreeing with the respondent’s claim that it was acting pursuant to lien authority included in its tariff and therefore its practices were reasonable, instead finding the NVOCC’s practices violated the Shipping Act and that “tariff and terms and conditions do not make its actions reasonable.”). Indeed, in the heavily regulated shipping industry, every contract must conform to the statutory requirements enforced by the FMC. *TCW*, 2025 WL 516256, at *8

(rejecting the defense that Claimant agreed to the contractual terms allowing respondent to collect detention charges, instead finding that “Claimant’s agreement to these contractual provisions does not render Respondent’s detention charges reasonable”).

Flexport’s invocation of its tariff rates and contract terms cannot shield it from the standards of reasonableness, fairness, and due diligence required by the Shipping Act. Final Interpretive Rule on Demurrage and Detention, Docket No. 19-05, 85 Fed. Reg. 29638, 29648 (May 18, 2020) (“Interpretive Rulemaking”) (“Ocean carriers and marine terminal operators (and ocean transportation intermediaries) do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c)”). Ultimately, the FMC ensures that all charges and practices comply with legal principles, regardless of what the parties may have privately negotiated. If Flexport were truly acting as a mere conduit for D&D charges, it might claim to have satisfied the standard of reasonableness outlined in *Bakerly v. Seafrigo*—where the FMC recognized that an NVOCC *passing through* verified charges supports freight fluidity and container movement. However, Flexport was not acting as a mere conduit, and its conduct diverges sharply from what was at issue in *Bakerly*. *Bakerly v. Seafrigo*, Dkt. No. 22-17, 2024 WL 95381, at *45 (ALJ Jan. 3, 2024).

Unlike the carrier in *Bakerly*, Flexport has not produced evidence of oversight, challenge, or verification of the underlying charges. Initial Br. at 39-41. In fact, the evidence in this matter is clear not only that Flexport marked-up D&D charges, but gave no basis for doing so, let alone identify the “services” that would justify the markup. In the absence of such documentation and engagement showing that Flexport acted with the required diligence in assessing D&D, Flexport’s position collapses. It also cannot invoke regulatory justification for its actions, as it failed both the Incentive Principle and the standard of reasonableness. Ultimately, Flexport’s lack of transparency

and accountability leaves its conduct exposed as unreasonable and unsupported under FMC precedent.

d) Peloton's Warehouse Capacity Challenges: Limited Impact on Overall Shipments and Flexport's Failure to Refute its Own Records

Flexport's position—that Peloton's warehouse issues were the sole or primary cause of the D&D charges—is not supported by the record or Flexport's own data.²⁰ As detailed in Peloton's Initial Brief, warehouse capacity was not a material contributing factor for the majority of delays. Initial Br. at 63, 76; Peloton PFF ¶¶ 189-216, 375. Instead, the record establishes that most of the charges resulted from a combination of external logistical challenges, including port congestion, chassis shortages, and trucking delays; all factors that are well documented in Flexport's own records. The record shows that only a small fraction (\$134,520)²¹ of the total D&D charges can be solely attributed to certain warehouse limitations and approximately \$1.7 million involved warehouse capacity as one of several contributing factors, rather than the sole cause.²² And the acknowledgment of a limited warehouse issue does not negate the entirety of Peloton's claim. The candor is a far cry from the scorched-earth arguments by Flexport denying all responsibility.²³

²⁰ Respondent resorts to invoking allegations in a separate case: *Robeco Capital Growth Funds SICAV v. Peloton Interactive, Inc.*, No. 1:21-cv-09582-ALC (S.D.N.Y.). But unproven allegations are irrelevant. Moreover, Respondent conveniently omits that the Second Circuit *dismissed* the vast majority of that case—in part because the allegations Respondent cites were “inconsistent” with each other. *Id.*, Dkt. 110, at 3, 10.

²¹ CXD-1660, Smith Suppl. Expert Report at 3, ¶ 7(d); *see also* Initial Br. at § VIII (“Conclusion”) addressing this amount should be discounted from the reparations awarded.

²² CXD-1660, Smith Suppl. Expert Report at 3, ¶ 7(c).

²³ Tellingly, Flexport's liability expert Gary Kardian's 36-page report, **does not contain any meaningful discussion of Peloton's warehouses**. Kardian mentions warehouses only sparingly, and when he does, he speaks in broad generalities about industry-wide challenges—without citing any record evidence linking those issues to Peloton. For example, he references the impact of COVID-19 on West Coast warehouses (CXD-2660-2661, CXD-2697-2699, Kardian Expert Report at 13), and describes general port congestion and warehouse overflow (*id.* at 14, 32–33, 34), but fails to connect these observations to Peloton specifically. In contrast, Kardian's few references to Peloton's warehouse operations are cursory and unsupported. He cites testimony about Peloton's scheduling communications with truckers (D-

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Moreover, to suggest that Peloton's warehouse capacity alone accounts for the entirety of the D&D charges is not only misleading but is directly refuted by both the evidentiary record and prevailing industry standards. *See Samsung v. SM Line*, 2025 WL 2231637, at *42 (container delays arise from a "myriad of circumstances," encompassing port congestion, chassis shortages, warehouse constraints, and other logistical complexities.). Flexport cannot shift the entire burden of D&D charges onto Peloton, relying on sweeping generalizations²⁴ and a handful of emails²⁵ referencing isolated backlogs at certain Peloton facilities, which it extrapolates to argue that Peloton is solely responsible for all the D&D charges Flexport forced Peloton to pay. *See* PRPFF ¶¶ 25-40.

Throughout these proceedings, Flexport has consistently refused to acknowledge its own errors, oversights, or lack of diligence, instead relying on selective citations to shift blame onto Peloton. For example, Flexport cites a June 2021 email discussing [REDACTED] Opp. Br. at 21 (citing CXE-0102–CXE-0105). But the record shows that the primary cause of congestion at this facility **was Flexport's own failure to manage its trucking operations**. On June 30, 2021, [REDACTED] [REDACTED] Peloton explicitly identified this as a "Flexport trucking error," as documented in CXE-0085–0086, FLEXPOR 00022416. On July 15, 2021, [REDACTED]

2655, D-2665, D-2673, Kardian Expert Report at 8), mentions Flexport communications without evidentiary support (*id.* at 18), and asserts that containers were diverted due to warehouse unavailability—again, without citing any record authority (*id.* at 26). Crucially, none of these references address warehouse backlogs or provide substantive analysis tied to Peloton's operations.

²⁴ *See* Opp. Br. at 21 (No citation or authority) ("Peloton held onto thousands of full containers at its facilities for weeks and months because it did not have the capacity to store them.").

²⁵ *See* Opp. Br. at 21-27.

[REDACTED]. CXE-0193, FLEXPOR 00025052. [REDACTED]

[REDACTED] CXE-0193, FLEXPOR 00025052. When Flexport later emailed about backlogs at the same facility, it merely provided a container count, omitting any detail as to whether the containers were in demurrage or detention. CXE-0191, FLEXPOR 00025050. A review of FLEX-IDs further reveals that many shipment delays at this facility were attributable to factors outside Peloton's control, not to warehouse capacity. Peloton PFF ¶¶ 149-152 (Flexport consistently failed to remove empty containers from Peloton warehouses), 161-166 (Peloton Shipment Case Study No. 2), 182-188 (Peloton Shipment Case Study No. 5), 191 (Flexport warehouse app malfunctioning contributed to congestion), 195-197 (Flexport truckers contributed to backlogs), 203 (Flexport unable to source additional warehouse space due to congestion).

Flexport cannot offer a substantive justification for its practices or show that it was reasonable and compliant with the Shipping Act, including any explanation why warehouse issues **are not referenced for \$31.9 million of the D&D charges in the Peloton Events Download.** Instead, Flexport's argument are an attempt to deflect responsibility for the D&D, which is directly refuted by the Peloton Events Download produced by Flexport.

5. Peloton Has Established the Flexport's Unreasonable Practices Were the Proximate Cause of Peloton's Injuries

Peloton also has met the requirements for recovering reparations by demonstrating that it sustained actual loss or injury and that Flexport's unlawful practice was the proximate cause of that loss or injury to a "reasonable degree of certainty." *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, Dkt. No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022) (quoting *Cal. Shipping Line, Inc. v. Yangming Marine Transp. Corp.*, Dkt. No. 88-15, 1990 WL 427466, at *23 (Oct. 19, 1990)). Reasonable certainty "does not require absolute precision," it requires "evidence

sufficient to reasonably infer the actual loss sustained.” *MAVL Capital*, 2022 WL 2209421, at *3. Not only has Peloton met this burden, but Flexport has utterly failed to present any evidence or argument in rebuttal.

The proximate cause analysis is twofold: (1) whether the damages claimed were proximately caused by the unlawful practice;²⁶ and (2) whether the amount and calculation of damages are proven.²⁷ Initial Br. at 59-60. Peloton has satisfied both of these prongs. Moreover, the Commission has repeatedly held that, where unlawful practices result in D&D charges, evidence that such charges were assessed and paid is sufficient to establish proximate cause. *See Hapag-Lloyd, A.G. & Hapag Lloyd (Am.) -- Possible Violations of 46 U.S.C. § 41102(c)*, Dkt. No. 21-09, 2022 WL 1239377, at *34 (ALJ Apr. 22, 2022) (“detention and demurrage invoices are outstanding and the collection of these fees would impose financial costs on shippers and trucking companies. Accordingly, th[e proximate cause] element is met”); *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc.*, Dkt. No. 1987(I), 2023 WL 11645622, at *13 (ALJ July 17, 2023) (Claimant “demonstrates that it incurred damages in the amount of \$20,970 (FF 36), the amount it

²⁶ *See Tractors & Farm Equip. Ltd. v. Cosmos Shipping Co.*, Dkt. No. 81-57, 1992 FMC LEXIS 86, at *39 (ALJ Nov. 23, 1992), admin. final, Dec. 31, 1992 (discussing Commission precedent requiring “a showing that the damages claimed were reasonably foreseeable or proximately caused by the violation proven” and therefore not awarding damages “if they were remote and not essentially related to the type of violation proven”); *William R. Adair v. Penn-Nordic Lines, Inc.*, Dkt. No. 1695(F), 1991 WL 383091, at *23 (ALJ Sept. 24, 1991) (“proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages”)

²⁷ *See Tractors & Farm Equip.*, 1992 FMC LEXIS 86, at * 38 (“if the fact of injury is shown with reasonable certainty, the amount need not be shown with mathematical precision, and the Commission will rely on reasonable estimations based on relevant data, as do the courts, so that the wrongdoer does not benefit from its misconduct”); *see also, OJ Commerce, LLC v. Hamburg Sud*, Dkt. No. 21-11, 2023 WL 3969857, at *40 (ALJ Jun. 7, 2023), *aff’d* 2024 WL 4034610 (FMC Aug. 27, 2024) (Initial Decision quoting *Tractors & Farm Equip.*: “the fact of injury must be shown with reasonable certainty [and] that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences”).

seeks as reparations, because of the double payments it was forced to make to obtain its shipments due to Respondents' conduct").

As to the first prong of the proximate cause test, the record is replete with evidence that Flexport's unreasonable practices directly led to Peloton's losses. Flexport does not dispute that delays arising from chassis shortages, trucker delays, port congestion, or unavailable appointments automatically triggered D&D charges to Peloton, without exception or waiver. *See* Peloton PFF ¶¶ 101, 104-107, 113, 116; Initial Br. at 35-36. This rigid Flexport policy resulted in the systematic assessment of unreasonable D&D fees, even in circumstances wholly outside Peloton's control. *See* Initial Br. at 41-51, §§ V.A.4.d.3.a-c; Peloton PFF ¶¶ 113, 116, 153, 331. The evidence confirms that Flexport imposed D&D charges on Peloton regardless of fault or whether the charges served any legitimate incentive function. *See Samsung v. SM Line*, 2025 WL 2231637, at *47 ("Logic dictates that port congestion caused by the COVID-19 pandemic was a reason entirely beyond SEA's control for which the imposition of charges was not reasonable. For these reasons, the undersigned finds that SM Line's assessment of charges due to port congestion was unreasonable.").

As to the second prong, as detailed in Peloton's Initial Brief, Peloton's damages calculations are precise, transparent, and fully supported by the record. Flexport has not challenged the accuracy, methodology, or foundation of Peloton's calculations, nor has it offered any credible alternative explanation or defense. Much of this analysis depends on data from Flexport's own systems, which Flexport asserts contains all pertinent details regarding the transportation and management of Peloton's shipments. *See* Opp. Br. at 50, n. 24 ("To clarify, as Flexport's corporate representative testified, the details of the shipments as inputted from various sources, including Flexport, Peloton, the motor carriers and the ocean carriers, into Flexport's system which it calls

‘Core’”); CXD-0624–0626, Peckham Dep. Tr. 126:2–128:5 (“That was-- thats the system through which all operations are managed... Like that’s the entire work flow of the company.”); CXB-0365–0366, Tanner Dep. Tr. 96:1–97:16 (describing all the items that can be found in CORE); CXA-0242, Tanner Decl. ¶¶ 9–12 (“described Flexport’s system, referred to internally as the ‘Core’ platform in which it provides clients, including Peloton of real-time tracking data for each and every shipment handled by Flexport.”).

Thus, the evidence not only meets but exceeds the “reasonable degree of certainty” standard required by the Commission. *See MAVL*, 2022 WL 2209421, at *3 (quoting *Cal. Shipping Line*, 1990 WL 427466, at *23). The causal link between Flexport’s systematic, unreasonable practices and Peloton’s resulting damage is clear, direct, and well-supported. The record allows for no reasonable inference other than that Peloton’s injuries stemmed directly from Flexport’s violations. The Presiding Officer should award Peloton \$33.7 million in reparations for D&D and related storage costs that Peloton incurred due to Flexport’s unjust and unreasonable practices.

B. FLEXPORT’S LAST-DITCH ATTEMPT AT “DISMISSAL” IS PROCEDURALLY IMPROPER AND UNFOUNDED

Flexport attempts to salvage its claim and argues for “dismissal” by pointing to recent Commission precedent—specifically, the *Samsung* Cases, and *Visual Comfort* decisions— and arguing that those decisions are entirely dispositive of Peloton’s claim. Quite the contrary. In fact, in both of the *Samsung* Cases, the Presiding Officer did not dismiss the Complainant’s claims, but found that the respondents in each had violated the Shipping Act on multiple occasions by engaging in similarly unreasonable conduct to what is challenged here. *See SM Line*, 2025 WL 2231637 at *41-46; *ZIM*, 2025 WL 1255544, at *77.

The record is clear that Flexport originated and charged Peloton for D&D by default under its rules tariff, regardless of service type (port-to-door, door-to-door, or port-to-port) (Peloton PFF

¶¶ 81, 92, 98), and maintained a policy of assessing D&D charges against Peloton in every case, without evaluating actual responsibility (Peloton PFF ¶¶ 100, 153). It is precisely this conduct that the Presiding Officer found violative of the Shipping Act in *Samsung v. SM Line*, 2025 WL 2231637 at *45—indiscriminately charging D&D pursuant to their “right” under their contract and tariff, regardless of fault: “the record shows that SM Line **automatically charged SEA for demurrage and detention** on all store door moves **in accordance with its applicable service contract and tariff**. To the extent that charges were assessed regardless of which party was at fault, the undersigned finds that SM Line engaged in an unreasonable practice.” (emphasis added). Flexport’s Opposition Brief does not refute these points and these actions are violations of the Shipping Act that deserve consideration on the merits, not dismissal.

Flexport’s assertion that Peloton falls short of the evidentiary standard set by the *Samsung* Cases and *Visual Comfort* is equally unfounded. A claimant is entitled to damages when it shows with “reasonable certainty” that a violation of law caused actual loss or injury. *See Adair*, 26 S.R.R. at 25; *Cal. Shipping Line*, 1990 WL 427466, at *23. Peloton has exceeded this threshold. The Smith Expert Report and its supporting documentation include a comprehensive, 128-page chart (Exhibit 1) detailing the D&D charges Peloton incurred and paid for shipments handled by Flexport, listing the charge amounts, FLEX-IDs, charge types, invoice amounts, and posting dates. *See* CXD-1469--1597, Smith Expert Report, Ex. 1. Moreover, Exhibit 3 of the Smith Supplemental Expert Report connects all shipment event data from Flexport and demonstrates the following:

- Flexport automatically imposed D&D charges on Peloton, regardless of the underlying cause of delay. Peloton PFF ¶¶ 110-113.

- Flexport assessed \$31.9 million in D&D, even when its own data (1) showed Peloton was not at fault or (2) provided no basis for responsibility. CXD-1660, D1666, Smith Supp. Expert Report at 3, 9, ¶¶ 8, 20.
- Flexport provided Peloton with no transparency regarding the reasons for these charges. Peloton PFF ¶¶ 359–382.

The analysis, which remains unrebutted, establishes with more than reasonable certainty that Flexport’s unlawful actions directly caused Peloton’s losses. *See* PRPFF ¶¶ 64-71. Peloton’s evidentiary presentation not only satisfies, but exceeds, the standards outlined in the *Samsung* Cases and *Visual Comfort*. Flexport’s contrary arguments find no support in the record and should be rejected.

Flexport’s ad hoc arguments—spanning expert disqualification, audit speculation, ad hominem attacks, misstatement of testimony, and unsupported motions for adverse inference and dismissal—are futile attempts at distraction and only serve to further support Peloton’s claims on the merits. Although Flexport devotes the majority of its Opposition Brief to these collateral attacks, it fails to anchor them in governing law, Commission precedent, or the factual record. Ultimately, the pattern is clear: where Flexport cannot justify the reasonableness of its D&D charges or rebut Peloton’s factually specific evidence, it resorts to procedural diversions and unsupported allegations, with an emphasis on personal attacks.²⁸ The Commission should

²⁸ The parties can agree on one item in regard to personal attacks. Flexport urges the Presiding Officer to review the video recording of the expert Roche deposition as it will provide better context than the deposition transcript for why counsel for Flexport uttered the word “pathetic” when referencing counsel for Peloton, as Peloton submits. FRPFF ¶ 471. Peloton is mindful there is a considerable record in this case, and a good deal of work to reach its Initial Decision. But this issue is a microcosm for the case itself and the credibility of the presentment of evidence by Flexport. Credibility matters. And when the Presiding Officer reviews the video of counsel for Flexport’s inexcusable personal attack, there will be no explaining away its bullying behavior. Initial Br. at 73-75.

disregard these distractions and focus on the real issues at hand—Flexport’s failure to meet its burden under the Shipping Act and Peloton’s clear entitlement to reparations.

C. FLEXPORT ISSUED INVOICES ON AND AFTER JUNE 16, 2022 (OSRA EFFECTIVE DATE) WITHOUT REQUIRED INFORMATION AND/OR OTHERWISE FAILED TO COMPLY WITH THE REQUIREMENTS FOR D&D INVOICES IN 46 U.S.C. § 41104(D) (COUNT II)

Flexport does not dispute that its representative invoices failed to include the mandatory minimum information required by OSRA. Rather than addressing this deficiency, Flexport contends that issuing addenda—sometimes months after the original invoice—satisfies its statutory obligations. Opp. Br. at 77-78. This position is untenable. The issuance of post hoc addenda does not cure Flexport’s initial noncompliance, nor does it satisfy the clear requirements of OSRA.

Flexport’s argument ignores the unequivocal mandate of the FMC regulations, which required that all invoice requirements under OSRA take immediate effect as of June 16, 2022.²⁹ The FMC made clear that there “is no phase period for this provision of law.” *Id.* Flexport’s failure to comply with these requirements at the time of invoicing constitutes a direct violation of OSRA, and its attempts to supplement invoices after the fact cannot retroactively remedy this breach.

D. FLEXPORT ASSESSED CHARGES ON AND AFTER JUNE 16, 2022 (OSRA EFFECTIVE DATE) THAT WERE INCONSISTENT OR DID NOT COMPLY WITH ALL APPLICABLE PROVISIONS AND REGULATIONS, INCLUDING 46 U.S.C. § 41102(C), 46 C.F.R. § 545. 46, AND 46 U.S.C. § 41104(A)(14) (COUNT III).

Flexport’s Brief offers only a cursory denial of Peloton’s Section 41104(a)(14) claim, asserting that invoices were not identified and that there is no pattern of noncompliance with the Shipping Act. Opp. Br. at 77. This argument is contradicted by the record. Both Exhibit A to Peloton’s Verified Amended Complaint and the Smith Expert Report provide detailed

²⁹ <https://www.fmc.gov/industry-advisory-demurrage-detention-billing-practices/> (last visited October 1, 2025).

documentation of the charges at issue, including specific invoice dates. Furthermore, Peloton has presented clear evidence that Flexport's policy and practice of assessing D&D charges for store door moves violate Section 41104(a)(14). Under the parties' arrangement, Flexport was responsible for inland transportation charges—including D&D—except in limited, expressly defined circumstances where Peloton was directly liable. PRPFF ¶ 17. The evidence shows that Flexport routinely assessed D&D charges against Peloton regardless of actual liability and failed to rebut the statutory requirement that "the common carrier's performance did not cause or contribute to the underlying invoiced charges." 46 U.S.C. § 41104(d)(2)(M). Flexport's blanket denial is unsupported by the record and ignores ample evidence of both improper invoicing and a pattern of noncompliance with the Shipping Act.

E. PELOTON IS ENTITLED TO REPARATIONS

Because Peloton established that Flexport committing Shipping Act violations, engaging in unreasonable and unjust practices on a normal, customary, and continuous basis under Section 41102(c), Peloton is entitled to the full amount of reparations sought for the Peloton Shipments, based on the following:

- **Flexport has conceded that Peloton paid \$33.7 million in D&D charges for the Peloton Shipments.** Flexport did not challenge the accuracy or basis of Peloton's charges payment calculations, which are supported by detailed expert analysis and Flexport's own shipment data. Initial Br. at 66-69.
- **Flexport failed to justify the reasonableness of these charges under the Shipping Act.** The opposition has offered no substantive evidence, argument, or expert opinions to challenge Peloton's shipment-level damages analysis, nor has it provided any legitimate explanation for the charges imposed on an individual basis. Instead of

engaging in the merits, Flexport improperly attempts to discount all of the charges on a broad and misplaced procedural basis.³⁰

- **Peloton analyzed each of the charges individually on a shipment-level basis and Peloton’s expert analysis demonstrates that \$31.8 million in D&D was assessed for shipments where Flexport was either solely responsible or provided no reason for the charge**, with only a minimal portion (\$1.8 million) *potentially* attributable to Peloton warehouse concerns, and even the majority of those reflect *shared* responsibility with Flexport.³¹ See CXD-1660, Smith Suppl. Expert Report at 3, ¶ 8.
- **The Opposition did not analyze the charges on a shipment-level basis, and Flexport does not even attempt to justify the reason for each D&D charge, even though it issued the charges in the first place and was required to do so under the Shipping Act.** Nor does Flexport challenge Peloton’s determination of the reasons for the charges at an individual level, instead offering broad, unsupported assertions or pointing to only a few examples of disagreement, which Peloton rebuts. Flexport did not put forward any evidence or expert testimony that analyzed the charges on a container-by-container or invoice-by-invoice basis. Flexport also did not analyze the Peloton Events Downloads with any specificity.

³⁰ Flexport attempts to strike the each-container analysis as belatedly included in a supplemental expert report. This is unsupported and should be rejected as will be detailed in Peloton’s forthcoming opposition to the motion to strike.

³¹ Even if the Presiding Officer determines that liability for “shared responsibility” charges should be allocated between the parties, such liability should be shared proportionally, rather than being assigned solely to Peloton. And, even if Peloton were to concede the entirety of these shared responsibility charges (which it does not), Peloton remains entitled to recover the remaining \$31.8 million in reparations.

- **Flexport failed to meet its burden to justify the specific reason for the charges.**

Under the FMC’s burden-shifting framework, once Peloton established a prima facie case of unjust and unreasonable practices, the burden shifted to Flexport to justify its conduct. Flexport has failed to meet this burden, offering only circular logic and unsupported assertions. Moreover, even without burden shifting, Flexport failed to rebut Peloton’s shipment-level analysis with any specificity.

- **Commission precedent is clear:** When, like here, the respondent fails to rebut a prima facie case with credible evidence, the complainant prevails and is entitled to full reparations.

Peloton has proven its damages calculations with specificity, both as to the amount and basis for each charge. CXD-1432, Smith Expert Report at 3; CXD-1659, Smith Suppl. Expert Report at 2-3, ¶ 7(a)-(d); CXD-0020-0026, Roche Expert Report at 20-26, ¶¶ 46-70. Much of this analysis depends on data from Flexport’s own systems, which *Flexport itself has asserted* contains all pertinent details regarding the transportation and management of Peloton’s shipments.³² See Opp. Br. at 50, n. 24 (“To clarify, as Flexport’s corporate representative testified, the details of the shipments as inputted from various sources, including Flexport, Peloton, the motor carriers and the ocean carriers, into Flexport’s system which it calls ‘Core’”); CXD-0624–0626, Peckham Dep.

³² Opp. Br. at 48-49 (Where Flexport asserts that “[a]s the testimony made clear, the truckers were in communication with the ocean carriers regarding extension of free time, appointments, and delays and the vast majority of any communication between all of these entities was made via EDI and *is reflected in the Events Downloads*.... Further, as the testimony made clear the communications between Flexport and the truckers primarily occurred via EDI, *as reflected in the Events Downloads*.... JCT specifically states that nearly all of its communications with Flexport were through ‘Transmission’ – which is part of the Core Platform. CXF-0063 (JCT Response to Peloton’s Subpoena). Not evident from Flexport’s statement is that the “Transmission platform” is not a separate application or program – all of the “Transmission” *data is reflected in the Events Downloads from Core*.”).

Tr. 126:2–128:5 (“That was -- that’s the system through which all operations are managed... Like that’s the entire work flow of the company.”); CXB-0365–0366, Tanner Dep. Tr. 96:1–97:16 (describing all the items that can be found in CORE); CXA-0242, Tanner Decl. ¶¶ 9–12 (“described Flexport’s system, referred to internally as the “Core” platform in which it provides clients, including Peloton of real-time tracking data for each and every shipment handled by Flexport.”). Flexport has not refuted these damages and raised no argument that Peloton’s calculations are inaccurate or unfounded.

1. Peloton Analyzed the Peloton Events Downloads and Provided Specific, Factual Evidence for Every Shipment at Issue that Establishes that Flexport’s Unreasonable Practices Resulted in the D&D Charges for Which Peloton Now Seeks Reparations

The Opposition argues that Flexport’s CORE platform is the central repository where Flexport housed all information about the Peloton Shipments during the relevant time period, and that “[t]he data from Core was downloaded into the spreadsheets referred to herein as the ‘Events Downloads’” and produced in this action. Opp at 50, n. 24; *see also* Opp. Br. at 45, 48-49.³³ The “three (3) spreadsheets downloaded from ‘Core’ provid[e] information for each shipment and updates regarding same, collectively the “Events Downloads” contain[] a total of 275,626 line items of data.” Opp. at 45 (citing to CXD-2646-CXD-2647, CXD-2735 (Event Downloads)). These files contain event logs, operational notes, and records for each container’s journey—making them the most reliable evidence for figuring out why delays happened since Flexport did not keep a specific record for this purpose. CXA-0151, Respondent’s Response to Complainant’s

³³ This was further reiterated in Respondent’s Response to Peloton’s Status Report, citing to the Tanner Declaration, stating: “As has been stated – several times – to Peloton’s counsel, and as has been set forth in multiple submissions, the Events Downloads, which reflect all of the correspondence in “Core” contain ALL of the correspondence”. CXA-0151, Respondent’s Response to Complainant’s Status Report at 10 (citing Decl. Tanner at ¶¶ 23, 24).

Status Report at 10 (citing Decl. Tanner at ¶¶ 23, 24). Although the Events Downloads were produced by Flexport, Peloton is the only party to analyze and report on all of the data within the Events Downloads on a shipment-level basis. CXD-1660-1662, Smith Suppl. Expert Report at 4-5, ¶¶ 9-11.

Peloton has provided specific, factual evidence for every shipment at issue showing how Flexport's unreasonable practices resulted in specific D&D charges that did not incentivize the movement of cargo. Peloton's process for proving that Flexport caused the damages goes beyond what the FMC requires for a shipment-specific analysis. Conversely, Mr. Kardian, Flexport's only expert, does not discuss or even address the contents of the Events Downloads in his report. Roche Rebuttal Report ¶ 33. The Opposition also contains no specific analysis of the Events Downloads on an individual basis.

Mr. Roche, Peloton's Expert, analyzed the Events Downloads and concluded that Flexport could not wholesale claim that Peloton was the cause of all of the charges. D-2482-2484, Roche Rebuttal Report at 15-17, ¶¶ 41-53. The Events Downloads showed that there were "hundreds, if not thousands, of events where Flexport issued demurrage and detention in an unreasonable manner in violation of the Interpretive Rule" including instances in which Peloton was not the cause of the delays, like "obtaining chassis, arranging drayage, and making appointments." D-2487, Roche Rebuttal Report at 20, ¶ 64. Mr. Roche also analyzed the various phrases in the Events Downloads to signify the specific causes of delay. D-2483-2484, Roche Rebuttal Report at 16-17, ¶¶ 46-53. Flexport did not rebut Roche's reports with expert testimony, including failing to challenge Roche's determinations.

Mr. Smith, Peloton's damages expert, conducted a forensic analysis of all 275,626 shipment-level data line items by applying search terms recommended by Peloton's Senior

Director of Global Transportation and Logistics, Martina Majstorovic and systematically mapping them to specific shipments and corresponding dollar amounts in the Events Download. CXD-1663, Smith Suppl. Expert Report at 6, n. 10; *see also* CXD-1668-1669, Smith Suppl. Expert Report, Exs. 1 and 2 (listing the search terms identified as Peloton Responsibility and Flexport Responsibility). In preparing his report, Smith carefully matched the event log details to each D&D or storage charge, assigning responsibility for each charge at the individual shipment level (“FLEX-ID”), which is how Flexport tracks shipments.

Contrary to Flexport’s repeated assertions that the Smith container analysis relied solely on “event” terms, this characterization is inaccurate and misleading. The “event” terms referenced in the analysis were not mere search criteria; rather, they served as overarching categories used by Smith to organize the specific, documented reasons for shipment delays, as directly communicated by Flexport’s own operations team. D-1660-1663, Smith Suppl. Expert Report at 3-6, ¶¶ 9-12. Smith’s assessment was grounded in verbatim, contemporaneous communications and operational records—not in generalized or inferential data. D-1663-1665, Smith Suppl. Expert Report at 6-8, ¶¶ 13-16; *see also* D-1668-1669, Smith Suppl. Expert Report Exs. 1 and 2. This was not a general or summary analysis, like Flexport’s—it was done for every single shipment. *See e.g.*, CXD-1670-1726, Smith Suppl. Expert Report, Ex. 3.

Exhibit 3 and 4 to the Smith Supplemental Report reflect this detailed, “container-by-container analysis,” with detailed listings and summaries of each shipment, the associated charges, and the event log findings. Where data within the Shipment Files was ambiguous or indicated mixed responsibility, Smith took a conservative approach in his analysis—clearly identifying areas where some delay might be attributable to Peloton, even if the affected containers were not in Peloton’s possession at the time D&D was accrued. CXD-1664-1665, Smith Suppl. Expert Report

at 7-8, ¶¶16-17; *see e.g.*, CXD-1680, Smith Suppl. Expert Report Ex. 3 at line 492, (FLEX-1038873), line 619 (FLEX-1085170). This fact-specific, detailed, and even conservative methodology, supported by Flexport's own business records, squarely satisfies the FMC's standard for proving that D&D damages were proximately caused by Flexport's unreasonable practices or policies.

This analysis shows, on a shipment-by-shipment basis, that Peloton was charged (1) \$26 million in D&D on shipments for which the only recorded reason of delay was Flexport's responsibility, i.e. Flexport's tariff, (2) \$5.8 million in D&D for which Flexport's data contains no indication that Peloton had any responsibility for the delays, (3) \$1.7 million in D&D for which the data shows a mixture of Peloton and Flexport responsibility, and (4) a mere \$134,520 in D&D for shipments in which there is indication that Peloton was solely responsible for the delay. CXD-1659-1660, Smith Suppl. Expert Report at 1-2, ¶ 7(a)-(d).

Flexport did not provide expert testimony rebutting Mr. Smith's reports and did not take his deposition. *See* CXF-0123-0128, RE: Deposition of Witness Greg Smith. Nor did Flexport attempt to separately group, much less quantify the charges, into any specific groups. Although Peloton disclosed that it would be putting forward both liability and damages experts on December 19, 2024 and the reports were served in late spring 2025 (*See* CXD-0001, Roche Expert Report at 1 (dated Apr. 21, 2025); CXD-1428, Smith Expert Report (dated Apr. 21, 2025); CXD-1728, McCown Expert Report (dated Apr. 21, 2025)), Flexport never identified any damages expert it intended to put forward nor attempted to put one forward.

Rather than engage in a direct rebuttal of the cause of D&D for each FLEX-ID/shipment, Flexport instead makes sweeping generalizations and identifies a specific examples that show its disagreement, neither of which are sufficient. Opp. Br. 63-64. For instance, Flexport highlights

FLEX-ID 1194650 and notes that, within just three minutes, the event log in the Peloton Events Download recorded “Trucking Delay: Other” eight separate times. Flexport attempts to explain these multiple entries, arguing that “[t]he reason is simple – the trucker and/or Peloton and/or Flexport³⁴ just entered and re-entered “trucker delay”. This in no way means that there were eight (8) trucker delays for the same shipment within 3 minutes.” But a detailed review of this shipment’s event entries show a pattern that cannot be so simply explained away. In fact, the entry “Trucking Delay: Other” was logged eight times,³⁵ immediately after a September 26, 2021 note stating: “Hi [@Lenilyn Plata](#mention/user/92828) - demurrage has been cleared through 09/27 for all eight containers, please advise once appts have been secure and please update the platform, thanks.” Even, accepting for argument’s sake that Flexport staff and their appointed truckers were simply repeating entries without reason, this does not alter the reality that *all eight containers*

³⁴ Flexport makes this assertion without providing any supporting evidence from the record. Additionally, Peloton did not have access to the underlying communications and therefore could not have entered the event. Furthermore, the event was consistently entered by the same Flexport individual each time.

³⁵ Contrary to Flexport’s assertions and as reflected below, the entry was entered by the same employee each time.

Sequence	BODY	SHIPMENT_ID	CREATED_AT	AUTHOR_NAME
2554	4580 Trucking Delay: Other	1194650	2021-10-05 17:29:50	Lenilyn Plata
2555	The scheduled departure for a voyage from Los Angeles, CA was updated from October 13 PDT to October 06 PDT.	1194650	2021-10-05 17:29:52	Lenilyn Plata
2556	4583 Trucker Confirmed Scheduled Date	1194650	2021-10-05 17:29:52	Lenilyn Plata
2557	4584 Trucking Delay: Other	1194650	2021-10-05 17:30:08	Lenilyn Plata
2558	The scheduled departure for a voyage from Los Angeles, CA was updated from October 13 PDT to October 06 PDT.	1194650	2021-10-05 17:30:10	Lenilyn Plata
2559	4586 Trucker Confirmed Scheduled Date	1194650	2021-10-05 17:30:11	Lenilyn Plata
2560	4588 Trucking Delay: Other	1194650	2021-10-05 17:30:39	Lenilyn Plata
2561	The scheduled departure for a voyage from Los Angeles, CA was updated from October 13 PDT to October 06 PDT.	1194650	2021-10-05 17:30:42	Lenilyn Plata
2562	4590 Trucker Confirmed Scheduled Date	1194650	2021-10-05 17:30:42	Lenilyn Plata
2563	4592 Trucking Delay: Other	1194650	2021-10-05 17:31:03	Lenilyn Plata
2564	The scheduled departure for a voyage from Los Angeles, CA was updated from October 13 PDT to October 06 PDT.	1194650	2021-10-05 17:31:05	Lenilyn Plata
2565	4594 Trucker Confirmed Scheduled Date	1194650	2021-10-05 17:31:06	Lenilyn Plata
2566	4596 Trucking Delay: Other	1194650	2021-10-05 17:31:29	Lenilyn Plata
2567	The scheduled departure for a voyage from Los Angeles, CA was updated from October 13 PDT to October 06 PDT.	1194650	#####	Lenilyn Plata
2568	4599 Trucker Confirmed Scheduled Date	1194650	2021-10-05 17:31:32	Lenilyn Plata
2569	4600 Trucking Delay: Other	1194650	2021-10-05 17:31:52	Lenilyn Plata
2570	The scheduled departure for a voyage from Los Angeles, CA was updated from October 13 PDT to October 06 PDT.	1194650	2021-10-05 17:31:52	Lenilyn Plata
2571	4603 Trucker Confirmed Scheduled Date	1194650	2021-10-05 17:31:53	Lenilyn Plata
2572	4604 Trucking Delay: Other	1194650	2021-10-05 17:32:14	Lenilyn Plata
2573	The scheduled departure for a voyage from Los Angeles, CA was updated from October 13 PDT to October 06 PDT.	1194650	2021-10-05 17:32:16	Lenilyn Plata
2574	4607 Trucker Confirmed Scheduled Date	1194650	2021-10-05 17:32:16	Lenilyn Plata
2575	4608 Trucking Delay: Other	1194650	2021-10-05 17:32:35	Lenilyn Plata
2576	The scheduled departure for a voyage from Los Angeles, CA was updated from October 13 PDT to October 06 PDT.	1194650	2021-10-05 17:32:36	Lenilyn Plata
2577	4611 Trucker Confirmed Scheduled Date	1194650	2021-10-05 17:32:37	Lenilyn Plata

CXD-2646, Peloton Events Download.

remained at the port well beyond October 5, 2021, and “Trucking Delay: Other” was entered an additional nine times, each reinforcing the persistent delay. A “no chassis” event was also recorded three times. There is no indication that Peloton caused the delays associated with FLEX-ID 1194650 yet Peloton was assessed \$62,320 in demurrage for delays for shipment FLEX-ID 1194650 that were not Peloton’s responsibility and therefore did not incentivize the movement of cargo. See RX240, Peloton Shipment Details Spreadsheet at line 1205; See Initial Br. at 45-51.

Another example is FLEX-ID 1338296. For that shipment, between January 28 and February 24, 2022, 76 entries cite “Chassis: chassis unavailable.” On January 28 alone, “chassis unavailable” was recorded eight times and “no chassis” another three times, underscoring the chronic equipment shortage until every container was finally delivered. There is no indication that Peloton was the cause of delay for this shipment, yet Peloton was assessed \$186,674.00 in demurrage for delays for FLEX-ID 1338296 that were not Peloton’s responsibility and therefore did not incentivize the movement of cargo. *See Peloton Shipment Details Spreadsheet at line 1699; See Initial Br. at 45-51.* It is fundamentally Flexport’s responsibility to ensure that its truckers have access to chassis equipment to carry Peloton’s cargo. This real-time, admission against interest, contemporaneous with container moves, supports Peloton’s reparations recovery claim when it was wrongfully forced to pay for these charges and others similarly situated.

2. Flexport Misconstrues the “Container-by-Container” Framework

Given the \$33.7 million in D&D charges at issue, it is both standard and prudent for parties to retain independent damages experts—not only to rigorously examine and validate their own records, but also to provide objective, fact-based analysis that aids the Presiding Officer in making informed damages determinations. Peloton followed this best practice and engaged a highly qualified damages expert, resulting in a comprehensive, transparent, and meticulously documented assessment of its losses. In stark contrast, Flexport failed to retain any damages expert, nor did it

offer any substantive rebuttal to Smith’s detailed findings. This omission underscores Flexport’s inability to challenge the accuracy or credibility of Peloton’s damages analysis, leaving Smith’s expert conclusions uncontroverted and solidifying Peloton’s entitlement to reparations.

Moreover, Flexport’s application of FMC precedent fundamentally misunderstands how Peloton’s claims differ from the cited cases. Flexport fails to appreciate key nuances in the FMC’s application recently of a “container-by-container” analysis or consider how the ALJs’ discussions fit into their larger analysis of Shipping Act violations in cases. The “container-by-container” approach discussed in recent similar cases is not the inflexible standard Flexport tries to impose on Peloton. Rather, the ALJs have required an analysis based on “specific detail” (*TZ SSE Buyer, LLC v. Yang Ming Marine Transp. Corp.*, Dkt. No. 24-10, 2025 WL 1083815 at *20 (ALJ Mar. 24, 2025)) that allows them to connect D&D charges on affected shipments with the respondents’ unreasonable practices. *See Visual Comfort & Co. v. Cosco Shipping Lines, Ltd.*, Dkt. No. 24-01, 2025 WL 1662697, at *23 (ALJ Apr. 28, 2025) (The Commission emphasized that it would assess the reasonableness of the detention charge at issue by balancing: “how a particular charge fits within the incentive principle to further the primary purpose of promoting freight fluidity alongside other arguments and extenuating circumstances raised by the parties to determine if they are relevant to assessing reasonableness and if so, whether they outweigh the finding under the incentive principle.”) (quoting *TCW*, 2025 WL 516256, *4-11); *SM Line v. Samsung*, 2025 WL 2231637, at *42 (“The Commission’s requirement that the reasonableness of demurrage and detention charges be determined on a container-by-container basis suggests that the question of reasonableness turns on the specific facts and circumstances of each shipment at issue.”).

Throughout this recent line of cases, the ALJs recognize that the damages analysis is fact specific, including that it may be a “shipment-by-shipment,”³⁶ “container-by-container,”³⁷ or charge specific³⁸ analysis, depending on the nature of the unreasonable practices and the available evidence. The common, operative thread through these decisions is that it is not the *form* of the analysis that matters, but whether it provides a sufficient factual basis to establish that D&D charges resulted from a carrier’s unreasonable procedures and practices with some specificity. For example, in *TZ SSE, LLC v. Yang Ming*, the ALJ references a “fact-specific, container-by-container analysis,” but makes clear that the end-goal is an analysis based on “specific details,” and juxtaposes that standard against unhelpful, generalized claims based on “widespread congestion...exemplar email chains describing congestion and equipment shortages, and testimony that [Complainant] never experienced charges of this magnitude before 2021-2022.” 2025 WL 1083815, at *20. Here, Peloton engaged in its damages analysis based on specific details, analyzing the lines of the Events Download, whereas Flexport relied improperly on only exemplar email chains and anecdotes. *Supra* § V.E.1.

³⁶ See *Samsung Electronics America, Inc. v. ZIM Integrated Services Ltd.*, Dkt. No. 22-30, 2025 WL 1255544, at *59 (ALJ Apr. 22, 2025) (“*Samsung v. ZIM*”) (together with *Samsung v. SM Line* the “*Samsung Cases*”) ([Claimant] has not provided a **shipment-by-shipment analysis** sufficient to determine why specific containers incurred demurrage and detention charges.”). (emphasis added).

³⁷ *Hapag Lloyd*, 2022 WL 1239377, at *27-30.

³⁸ See *SM Line*, (SM Line’s D&D Summary Report establishes with reasonable certainty that some of the charges were the proximate result of SM Line’s unreasonable practice of assessing charges against SEA when it was not at fault... the undersigned finds that it constitutes sufficient proof that these charges were not caused by SEA and were in fact caused either by facts beyond SEA’s control in the case of port congestion or by SM Line in the case of chassis unavailability because it was responsible for supplying chassis. The undersigned finds that the D&D Summary Report constitutes prima facie evidence that SEA was not at fault for these charges, which shifts the burden to SM Line to produce evidence to rebut this presumption.”).

The nuances of the approach is recognized in *Hapag-Lloyd*, in which the recent idea of a “container-by-container” analysis originated. *Hapag-Lloyd* also makes the distinction that, “[t]here are no specific evidentiary requirements to object to demurrage and detention charges or to claim that such charges are unreasonable and no requirement that [Claimant] present such specific evidence.” 2022 WL 1239377, at *21. Recent FMC initial decisions establish that *the substance* of the evidence is much more important than the *form*—the evidence provided by complainant should be factually-specific enough to determine how particular charges fit within the incentive principle. See *TZ SSE Buyer, LLC v. Cosco Shipping Lines, Ltd.*, Dkt. No. 24-09, at 23 (ALJ Sept. 19, 2025) (“Both the Interpretive Rule and the Commission’s decision in TCW II indicate that whether demurrage or detention charges are reasonable is a fact-specific inquiry. This suggests that the proper analysis does not focus on widespread congestion, although that is a relevant consideration. Instead, it is appropriate to focus on the facts surrounding each demurrage or detention charge, and whether such charge was reasonable.”). Peloton has met this standard. Initial Br. at 62-66; *supra* § V.E.1 and § V.E.2.

As much as it tries to dodge it, Flexport’s handling of Peloton’s cargo on store door terms is highly relevant to this framework. In its brief, Flexport repeatedly misstates Peloton’s position by claiming that Peloton believes “Flexport was responsible for all detention and demurrage charges under ‘store door’ terms since ‘store-door’ terms mean detention and demurrage-free for Peloton regardless of causation” (Opp. Br. at 1), and that Peloton maintains that “since these were ‘store door’ moves, then Flexport should never have assessed any detention or demurrage. Opp. Br. at 8. This is not Peloton’s position at all, as evidenced by the fact that it is not stated anywhere in Peloton’s Initial Brief and is contradicted by Peloton’s Amended Complaint. See also CXA-0039, Peloton’s Verified Am. Compl. ¶ 18. To the contrary, it is and has been Peloton’s position

that “[i]n store door shipments, costs and charges relating to delays in the timely delivery of containers (and chassis) to the designated inland locations and ultimately the return of empty containers and equipment (generally known as demurrage, detention, per diem and similar charges (“D&D”)) should have been borne by Flexport, not the shipper or consignee, *when the delays result from matters for which the shipper or consignee was not a cause or contributing factor.*” CXA-0039, Peloton’s Verified Amended Complaint ¶ 18.

Flexport’s mischaracterization of Peloton’s position highlights Flexport’s inability to address Peloton’s actual argument: Flexport unjustly and unreasonably originated and imposed D&D charges on shipments where Peloton lacked any ability to control or expedite the movement of cargo because Flexport was responsible for moving them store door. In these circumstances, no amount of D&D could have served as an effective incentive for Peloton to move the cargo, rendering the charges not only unjust but also devoid of any legitimate incentivizing function. CXD-0019, CXD-0021, Roche Expert Report at 19, 21, ¶ 40, 50. The primary issue in this case is that Flexport, as it has admitted, charged D&D in every instance, with a profit markup, regardless of whether Peloton was at fault, and with no analysis to justify the charges on these bases. CXD-0024-0025, Roche Expert Report at 24-25, ¶ 61; Peloton PFF ¶¶ 93, 110-113.

3. Flexport has Failed to Justify its D&D Practices

Peloton is entitled to reparations for two independent reasons, each firmly supported by the record and recent FMC precedent.

First, as detailed above, Peloton provided shipment-level analysis demonstrating the unreasonableness of each disputed charge. This granular approach, consistent with Commission expectations, included container-by-container evidence and specific reasoning for each charge. Flexport, however, failed to respond with any shipment-level analysis or to contest Peloton’s findings on a container-by-container basis. This un rebutted evidence is sufficient to establish that

Peloton has carried its burden, warranting an award of reparations. Flexport has not done so, meaning Peloton must prevail.

Second, Peloton is entitled to reparations because Flexport failed to meet its burden of proof once liability was established. Under the applicable framework, the burden shifted to Flexport to justify the reasonableness of its D&D charges. Flexport made no effort to address the charges with any specificity, falling well short of its obligation. As the Commission recognized in *TCW*, 2025 WL 516256, at *7, “where a party having the burden of proceeding has come forward with a prima facie and substantial case, he will prevail unless his evidence is discredited or rebutted.” (citations omitted).

Peloton’s Verified Amended Complaint centers on Flexport’s systematic assessment of D&D charges, which were imposed without meaningful review and often in circumstances entirely outside Peloton’s control. CXA-0039-0041, Am. Compl. at ¶18-28. As the NVOCC with exclusive operational oversight, Flexport originated and levied these charges pursuant to its Rules Tariff, disregarding the Incentive Principle and failing to account for factors such as chassis shortages, port congestion, and inland carrier delays. Peloton has substantiated its claims with shipment-level evidence, including detailed exhibits and expert analyses tracing the impact of Flexport’s conduct on every affected shipment (*see, e.g.*, CXD-1670-1726, Smith Suppl. Expert Report, Ex. 3). This evidence demonstrates both the qualitative and quantitative harm resulting from Flexport’s practices.

With Peloton having established a prima facie case of unjust or unreasonable conduct, the burden shifts to Flexport to justify its actions with specific evidence and argument. This approach, repeatedly affirmed in Commission decisions such as *TCW, Inc. v. Evergreen Shipping Agency (America) Corp.*, ensures that the party with access to the relevant facts must account for its

conduct once substantial evidence of unreasonableness is presented. In this matter, the record compels Flexport to provide a legitimate, fact-based justification for its D&D practices, as required by both the FMC’s framework and foundational principles of evidentiary fairness. *TCW, Inc. v. Evergreen Shipping Agency (America) Corp.*, 2025 WL 516256, at *7 (finding after complainant established prima facie case that “[n]one of Respondent’s justifications, either individually or collectively, are sufficient to establish that Respondent’s charges were reasonable”). Similar principles are found in *New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal District*,³⁹ *Petchem, Inc. v. Canaveral Port Auth.*,⁴⁰ and *Ceres Marine Terminal, Inc. v. Maryland Port Admin.*,⁴¹ each affirming that the respondent must provide justification once a prima facie case of unreasonableness is shown. In other words, once the complainant demonstrates, with specific and credible evidence, that the challenged practice is unjust or unreasonable, the burden shifts squarely to the respondent to justify its conduct. Flexport was expressly notified of this burden in Peloton’s Initial Brief (Initial Br. at 6-7), yet did not address it in its Opposition. This omission is significant, as it leaves Peloton’s prima facie case un rebutted and further supports the conclusion that Flexport failed to meet its procedural obligations under the established framework.

In *TCW*, the Commission again affirmed the initial decision’s finding that the practice of charging detention when equipment could not be returned because the terminal was closed established a prima facie violation, holding that “the detention charges are likely unreasonable

³⁹ Dkt. No. 83-2, 1985 WL 148970, at *20-22 (ALJ Dec. 30, 1985) (after the complainant established a prima facie case of unreasonableness under Section 17 (recodified as 46 U.S.C. § 41102(c)), the respondent was required to provide justification for its actions).

⁴⁰ Dkt. No. 84-28, 1986 WL 170038, at *13 (FMC Mar. 28, 1986) (the respondents’ inability to justify their practices resulted in findings against it).

⁴¹ Dkt. No. 94-01, 1997 WL 35281266, at *38-39 (FMC Oct. 10, 1997) (finding first that Ceres met its prima facie burden of proving MPA’s practice was unreasonable and finding that MPA failed to show that the practice was justified).

absent ‘extenuating circumstances’ or other ‘factors, arguments, and evidence that can establish reasonableness.’” 2025 WL 516256 at *7 (citations omitted). The Commission then analyzed “several ‘extenuating circumstances’ and justifications” advanced by respondent, *id.* at *8-11, ultimately concluding that “[n]one of Respondent’s justifications, either individually or collectively, are sufficient to establish that Respondent’s charges were reasonable.” *Id.* at *11.

4. B. Peloton’s Comprehensive Evidence Irrefutably Demonstrates Flexport’s Systematic Violations

Peloton has not merely satisfied its burden under the FMC’s burden-shifting framework—it has decisively established a shipment-level *prima facie* case that exposes the full scope of Flexport’s unreasonable practices. The evidence is both qualitative and quantitative, and it leaves no doubt that Flexport’s conduct was systematic, unjust, and unsupported by any legitimate justification.

Qualitatively, Peloton detailed how Flexport violated the Incentive Principal during the Relevant Time Period by systematically charging Peloton D&D originated under its own tariff, without meaningfully reviewing the D&D charges and under the default assumption that Peloton was responsible for D&D at all times. Initial Br. at 32-37. These practices, in turn, created the environment that allowed Flexport to engage in additional unreasonable practices, such as charging Peloton D&D for circumstances entirely outside of Peloton’s control—including chassis shortages, port congestion, and inland carrier delays. Initial Br. at 41-52. Peloton also explained how Flexport’s actions significantly increased D&D charges assessed by *disincentivizing* the efficient movement of cargo. *See* Initial Br. at 56-59.

Quantitatively, Peloton detailed, in Exhibit A to its Amended Complaint, every shipment that was impacted by Flexport’s unreasonable practices and the amount of improper D&D charged as a result. CXA-0154-0240, Exhibit A to the Am. Compl. Peloton’s Expert analyzed Flexport’s

own data (the Events Downloads) to demonstrate, at the shipment level, how Flexport's unreasonable practices resulted in substantial damage due to improperly assessed D&D charges. The full analysis is set forth in Exhibit 3 to Greg Smith's Supplemental Expert Report and accounts for every single shipment for which Peloton is seeking reparations. *See supra* § V.E.1-2.

Through these two methods—demonstrating Flexport engaged in unreasonable practices and demonstrating that these unreasonable practices directly resulted in significant improper D&D charges for specific shipments—Peloton has met its burden of establishing a prima facie case that Flexport's practices were unjust and unreasonable.

Thereafter, the burden shifts to Flexport to rebut or justify its conduct with evidence and argument, **along with a specific refutation of Peloton's shipment-by-shipment analysis.** The FMC's burden shifting framework is necessary for fairness and practicality and is supported by well-established legal principles repeatedly recognized in federal case law. The FMC's burden-shifting framework is essential to ensuring both fairness and practicality in these proceedings, particularly here where the moves were store door and Flexport controlled the shipments and the information about the shipments. Peloton PFF ¶¶ 22-61. This approach is firmly grounded in longstanding legal principles, repeatedly affirmed by federal courts, which hold that when critical facts are uniquely within one party's knowledge or control (here, Flexport, as the party issuing D&D charges based on its purported records), it is that party who must bear the burden to rebut Peloton's prima facie case and shipment-by-shipment evidence.⁴² Moreover, applying a different

⁴² 2 J. Strong, McCormick on Evidence § 337, pp. 411-12 (5th ed. 1999) (“[L]ooking for the burden of pleading is not a foolproof guide to the allocation of the burdens of proof. The latter burdens do not invariably follow the pleadings.”); *Alaska Dep’t of Env’tl. Conservation v. E.P.A.*, 540 U.S. 461, 494, n.17 (2004) (citing 9 Wigmore, *supra*, § 2486, at 288, 290) (Rather, “allocations of burdens of production and persuasion may depend on which party—plaintiff or defendant, petitioner or respondent—has made the ‘affirmative allegation’ or ‘presumably has peculiar means of knowledge.’”); *Nayab v. Capital One Bank (USA), N.A.*, 942 F.3d 480, 494 (9th Cir. 2019) (citing

standard could have unintended consequences. It may encourage carriers to be less diligent in maintaining records or to withhold relevant documentation, making it more difficult for complainants to substantiate their claims. Ensuring a fair process requires standards that promote transparency and proper recordkeeping, so that all parties have a meaningful opportunity to present their case.⁴³

Flexport outright failed to justify the D&D charges. Flexport did not address each charge individually or the categories of shipment-by-shipment charges described above which were derived from Flexport's primary business record on the issue (the Peloton Events Downloads):

United States v. Denver & Rio Grande R.R. Co., 191 U.S. 84, 91-92 (1903) (“Relatedly, courts have shifted the burden of ‘establish[ing] a negative’ to the defendant where holding otherwise ‘would impose’ upon the plaintiffs a difficult, if not an impossible, task’ of requiring them to produce evidence that a fact is not the case, though evidence to the contrary ‘could be readily produced by the defendant.’”); *Id.* (citing *Denver*, 191 U.S. at 92) (holding that the plaintiff does not bear the burden of proving Defendant’s improper purpose for obtaining a credit report under the Fair Credit Reporting Act. “This is “a general rule of evidence...that ‘where the subject-matter of a negative averment lies peculiarly within the knowledge of the other party, the averment is taken as true unless disproved by that party.’”).

⁴³ It is necessary to ensure that a Claimant is not required to prove both the existence of unjust and unreasonable practices and the negative averment that these practices did not result in improper D&D charges. This is necessary to ensure fundamental fairness—without it, almost all shippers would be barred from reparations for Shipping Act violations by carriers, particularly those operating under store door terms, because it is the carrier who is most likely (or only) party to have evidence of how their unreasonable practices did or did not result in improper charges being assessed. A direct analogy can be drawn from another area of liability for common carriers—the handling of goods. In such cases, courts have consistently held that when a shipper can make a prima facie case showing that goods are lost or damaged while in the carrier’s custody, the presumption is that the carrier is at fault, and the burden shifts to the carrier to prove that the loss or damage was due to an exception for which it is not responsible. *Clark v. Barnwell*, 53 U.S. 272, 279 (1851); codified in the COGSA, 46 U.S.C. app. § 1304(2).

The rationale behind this is that the carrier, not the customer, is in possession of the facts and evidence necessary to explain the loss or justify the charges. *The Medea*, 179 F. 781, 786 (9th Cir. 1910). Requiring the customer to prove fraud or error in the carrier’s charges would be “a denial of justice,” as the customer is in no position to access the relevant records or operational details of the shipment. *Id.* By contrast, the carrier “know[s], or at least ought to know, the circumstances connected with the loss or damage.” *Id.*

- \$26 million in D&D charges stemmed solely from Flexport’s actions, with no evidence of fault on Peloton’s part;
→ Flexport’s response? None. Burden not met.
- \$5.8 million in charges lacked sufficient information to determine whether Peloton was responsible for the delays;
→ Flexport’s response? None. Burden not met.
- \$1.7 million in charges reflected shared responsibility between Flexport and Peloton; and
→ Flexport’s response? None. Burden not met;
- \$134,520 in charges was attributable exclusively to Peloton.
→ Flexport’s response? None. Burden not met.

Initial Br. at 63; CXD-1659-1660, Smith Suppl. Expert Report at 1-2, ¶ 7(a)-(d). Flexport chose to not respond to these subsets of evidence in its opposition brief. This is fatal to Flexport’s defense. Instead, Flexport focused its response on generalizations and attacks on Peloton’s methodology (without the support of expert testimony), which are not sufficient to rebut or justify its practices as to all of the D&D charges at issue here.

Flexport improperly insists that Peloton must break down each charge with meticulous, **day-by-day** detail—a standard Flexport has invented out of whole cloth, unsupported by any legal authority or precedent. Opp. Br. at 1-2, 9, 18, 59, 66. This tactic not only disregards the established evidentiary rules that require the party with exclusive access to shipment information to account for its conduct but also attempts to shift the burden back to Peloton in direct contradiction to Commission precedent and foundational principles of fairness. Flexport’s “day-by-day standard”

is a baseless construct designed to obscure its own lack of justification and distract from the overwhelming evidence of its unreasonable practices.

Flexport's only explanation for the charges is the existence of the Rules Tariff, but as explained in Section V.A.4. and as Flexport concedes, Rules Tariffs do not supersede statutory and regulatory obligations. Moreover, rather than explain how its practices were reasonable with any specificity, as it is required to do under the FMC's burden shifting framework, Flexport embraces the old sports idiom "the best defense is a good offense" by weaving a story of Peloton malfeasance and claiming (without supporting evidence) that Peloton was wholly responsible for any and all shipment delays but also seemingly responsible for the entirety of the world's supply chain disruptions at the Port of Los Angeles. Opp. Br. at 18 ("Peloton was the cause of all the D&D charges. And Peloton significantly contributed to the overall supply chain issues confronted by the entire industry during the Pandemic") (no citations to the appendix or PFFs).

Because Flexport did not rebut Peloton's reparations analyses with any credible or specific evidence or otherwise justify each charge, Peloton should be awarded reparations.

5. Peloton's Reparations Claims are All Timely as They Accrued Within the Applicable Three-Year Limitations Period, and Flexport Overstates its Limitations Defense in Any Event

Throughout this litigation, Flexport has insisted, without further explanation, that the "vast majority" of Peloton's damages claims are "time-barred." *See* Verified Answer, Dkt. 16 at 5, n. 1, 7 (Oct. 29, 2024); Respondent's Motion to Dismiss the Complaint, Dkt. 10 at 12 (June 17, 2024); Joint Status Report and Proposed Discovery Schedule, Dkt. 17 at 5 (Nov. 6, 2024); Respondent's Motion to Dismiss and for Sanctions, Dkt. 54 at 5 (Apr. 25, 2025); Respondent's Response in Opposition to Peloton's Motion to Compel, Dkt. 30 at 9 (Jan. 21, 2025); Respondent's Motion for Sanctions for Failing to Comply with Discovery Orders, Dkt. 63 at 7 (May 21, 2025). But

Flexport's *ipse dixit* is not enough to support a statute of limitations defense and is just another example of Flexport's attempt to avoid liability using smoke and mirrors.

Flexport provides no explanation or support for its purported affirmative defense of statute of limitations within its Opposition Brief, and its only mentions of the defense are off-handed and conclusory. *See* Opp. Br. at 52 (“it was clear (despite not being able to be searched) that approximately two-thirds of the 3,200 invoices were time-barred”) (referencing Exhibit A to Peloton's Amended Complaint), 63 ([Smith's] analysis includes not only time-barred charges...”), 46, n. 18 (“the only communications which were not produced were those...for shipments prior to May 2021, as these were time-barred”).⁴⁴ These off-handed remarks are insufficient to support an affirmative limitations defense, on which Flexport bears the burden.

“Because the statute of limitations is an affirmative defense, the burden is on the defendant to show that the statute of limitations has run.” *Maheer Terminals*, 2013 WL 9808667, at *2 (citing *Campbell v. Grand Trunk W. R. R. Co.*, 238 F.3d 772, 775 (6th Cir. 2001); *see also* Affirmative defenses, Dan B. Dobbs, Paul T. Hayden and Ellen M. Bublick, *The Law of Torts* § 23 (2d ed.)

⁴⁴ Flexport is referring to March 26, 2025 Memorandum Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel in which the previous Presiding Officer issued orders concerning “the relevance of events or documentation prior to May 2021.” Dkt. 47 at 1. As clearly stated, however, this order was purely focused on discovery issues raised in the parties Motions to Compel and relevancy of pre-May 2021 documents. *The Presiding Officer did not make any ruling as to whether or not any of Peloton's claims were outside the statute of limitations.* Peloton must respectfully maintain and preserve for appeal that this ruling improperly limited discovery in conflict with FMC precedent. *See Maheer Terminals, LLC, Complainant, v. the Port Authority of New York and New Jersey, Respondent.*, Dkt. No. 08-03, 2013 WL 9808667, at *4 (FMC Jan. 31, 2013) (finding that evidence outside of the statute of limitations that could have established whether Complainant knew or should have known that a violation of the Shipping Act occurred for purposes of the discovery rule “should not have been excluded.”). In Commission proceedings, all evidence that is relevant, material, reliable and probative, and not unduly repetitious or cumulative, shall be admissible. *Id.* Because none of Peloton's pre-May 2021 claims have ever been dismissed, and the excluded evidence is potentially relevant to both those claims and Peloton's invocation of the discovery rule, the March 26 Order should not have excluded evidence for shipments invoiced prior to May 2021.

("[T]he defendant must carry the burden of producing evidence to prove elements of any affirmative defense. The defendant likewise has the burden of persuading the judge and jury that the evidence is sufficient."). This burden requires Flexport to establish "a prima facie case that the limitations period has expired since [Peloton's] claims accrued." *Sarfati v. Antigua & Barbuda*, 565 F. App'x 6 (D.C. Cir. 2014); *see also* Affirmative defenses, Dan B. Dobbs, Paul T. Hayden and Ellen M. Bublick, *The Law of Torts* § 23 (2d ed.) ("[T]he defendant must carry the burden of producing evidence to prove elements of any affirmative defense. The defendant likewise has the burden of persuading the judge and jury that the evidence is sufficient."). Only if Flexport has established a prima facie case does the burden shift to Peloton to establish an exception to the statute of limitations. *See Maher Terminals*, 2013 WL 9808667, at *2. Flexport has not made this prima facie case.

Although Flexport neither cites nor discusses its previous pleadings on this issue, Peloton will do so here for the avoidance of question. In its Answer to the Amended Complaint, Flexport asserted that Peloton's "claims are barred in whole or in part by the statute of limitations." Dkt. 16 at 25. Flexport has never provided any basis for this defense aside from its November 27, 2024, motion for judgement on the pleadings, in which it asserted that it is "entitled to judgment as a matter of law with respect to the time-barred invoices at to all accounts, because "2,164 of [the] invoices – or two-thirds – were issued more than three years before Peloton filed its complaint and are thus time-barred." Dkt. 20 at 6.⁴⁵ In attempted support of this argument, Flexport produced a color-coded version of Exhibit A to the Amended Complaint, representing without explanation that its version identified which entries are time barred or not. *Id.*

⁴⁵ The Presiding Officer denied Flexport's Motion for Judgement on the Pleadings, noting that "it would not be appropriate to dismiss the claims related to the invoices at this stage, based solely on their date of issue". Dkt. 35.

Peloton filed its complaint in this matter in May 2024, meaning any charge invoiced from May 2021 onward is plainly within the 3-year limitations period. While 1,307 of 3,249 invoices in Exhibit A have an invoice date before May 2021, those invoices only equate to \$4,284,334.24 of the total damages sought—a mere fraction.⁴⁶ The remaining \$29,427,095 Peloton is seeking in reparations is for detention, demurrage, warehousing, and storage fees that were invoiced in May 2021 or later. Based purely on the issuance date of invoices, therefore, it is impossible for the “vast majority” of Peloton’s reparations to be time-barred.

Flexport provides no explanation of *which* claims it considers time-barred or *why* those claims accrued outside of the statute of limitations. Indeed, Flexport does not even offer a theory of when Peloton’s claims accrued, much less produce any evidence in support of that theory. **As such, Flexport should be found to have abandoned its affirmative defense for not meeting the evidentiary burden.**

Even if it is determined that these exceedingly sparse statements by Flexport do constitute a prima facie affirmative defense, Flexport is simply wrong. All of Peloton’s claims accrued within the three-year statute of limitations, including the approximately \$4.3 million in D&D invoiced prior to May 2021. Under the Shipping Act, Complainants suing for reparations must file their complaint within three years of the date their cause of action *accrued*. 46 U.S.C. § 41301(a) (“If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.”); 46 C.F.R. § 502.62(a)(4)(iii) (“A complaint seeking reparation must be filed within three years after the claim accrues.”).

⁴⁶ To correct Flexport’s inaccurate claims regarding which charges were invoiced before and after May 2021, Peloton attaches two spreadsheets derived from Exhibit A to the Verified Amended Complaint and the Smith Supplemental Report. These spreadsheets separately identify charges incurred pre- and post-May 2021 and include the underlying causes of delay for each charge. *See* attached Exhibit Nos. A-1 and A-2.

The FMC employs the “discovery” rule to determine the accrual rate of Shipping Act claims. *Maher*, 2013 WL 9808667 at *4. Under this rule, a statute of limitations period does not “begin to run until ‘a party knew or with reasonable diligence should have known it had a claim.’” *Id.* (citing *Inlet Fish Prod., Inc. v. Sea-Land Serv., Inc.*, Dkt. No. 00-03, 29 S.R.R. 306, 314 (FMC 2001); *see also In Re: Vehicle Carrier Services*, Dkt. No. 16-01, 16-07, 16-10, 16-11, 2019 WL 5419475, at *18 (FMC Oct. 21, 2019) (“The statute of limitations begins to run on the first date that the injured party possesses sufficient critical facts to put him on notice that a wrong has been committed and that he need investigate to determine whether he is entitled to redress” (quoting *Loughlin v. United States*, 230 F. Supp. 2d 26, 40 (D.D.C. 2002))).

To determine if a party knew or should have known of a claim, such that it accrued, the FMC reviews “the substantive elements of the claims presented by the claimant.” *Maher*, 2013 WL 9808667 at *5. Therefore, in this case, for Peloton’s cause of action to accrue, Peloton must have known, or with reasonable diligence should have known that 1) Flexport was engaging in unjust and unreasonable practice; 2) these practices were occurring on a normal, customary, and continuous basis; and 3) these practices were causing Peloton loss.

As reflected in Exhibit A, Flexport’s unjust and unreasonable practices began to have a significant impact on Peloton—exponentially driving up the amount of D&D that Flexport was passing through—in or around May 2021. Accordingly, Peloton’s claims could not have accrued until after that date. Indeed, again based on simple math, Peloton did not experience the vast majority of the harm caused by Flexport’s unreasonable practices for months after May 2021.

Moreover, although Peloton reviewed invoices prior to payment, Flexport’s lack of transparency as detailed above made it difficult for Peloton to discern why shipments were delayed and the effect those delays had on D&D charges. *See* § V.E.4. As Peloton’s corporate

representative testified, it was not until summer or fall of 2023 that Peloton’s invoice audit raised real questions about Flexport’s D&D practices. CXB-1545-1546, Peloton 143(b)(6) Dep. Tr. 58:23-59:2; 63:11-14 [REDACTED]

[REDACTED] Contrary to Flexport’s conclusory statements, therefore, the preponderance of the evidence actually supports that Peloton’s Shipping Act claims did not accrue until after May 2021 and any reparations associated with those claims are not time-barred.

F. FLEXPORT’S REMAINING ARGUMENTS ARE ANCILLARY AND IRRELEVANT.

Flexport’s remaining arguments raised in its Opposition Brief are emblematic of its broader strategy to divert attention from the central issues in this proceeding and have no material bearing on the fundamental dispute. This pattern is consistent throughout Flexport’s filings—where it cannot substantiate its practices or rebut the evidence of unreasonable D&D charges, it resorts to collateral attacks, to include previously unraised challenges to expert qualifications, speculative assertions about audit procedures, and unfounded allegations of discovery improprieties. Flexport spends approximately 38 pages of the Opposition discussing a Peloton audit and related discovery disputes (Opp. Br. at 6-8, 29, 35-57, 68-69, 76, 79), and devotes another 18 pages to other irrelevant attacks ranging from conflict of interest to accusing Peloton counsel of fabricating empty return dates. Opp. Br. at 27- 36, 51-52. None of these “arguments” actually addresses Flexport’s violations of the Shipping Act, nor do they undermine the detailed factual and expert record establishing Peloton’s entitlement to reparations. Unsupported in law and fact, the Presiding Officer should afford no weight to these arguments and take them for what they are—Flexport’s attempt to distract from its inability to defend its conduct in violating the Shipping Act and unjustly charging Peloton over \$33 million in unjustified D&D.

1. Flexport's Weak Attempt to Disqualify Peloton's Expert is a Mere Tactical Diversion Without Legal Authority, Merit, or Evidence.

One of the many tactical diversions attempted by Flexport is to discredit Peloton's expert, Richard Roche. Opp. Br. at 51-52. But Flexport fails to anchor its criticism of Roche in *any* governing standards, controlling legal authority, or even the factual record, and its allegations of a conflict of interest are equally unsupported. There is no evidence, nor any precedent, to support the notion that Roche's industry participation or employment by a competitor disqualifies him as an expert. Flexport further engages in ad hominem attacks without proof that Roche's testimony was improperly influenced and that Peloton's counsel engaged in conduct warranting exclusion of his opinions.

Peloton notified Flexport it was designating Roche as an expert witness on December 19, 2024, in accordance with the scheduling order.⁴⁷ More than four months elapsed between Peloton's disclosure and service of Roche's Expert Report and Rebuttal Report. *See* CXD-0001, Roche Expert Report at 1 (dated April 21, 2025). During this entire period, Flexport did not express any objections or concerns about a potential conflict of interest. It is only now, at this late stage in the litigation, that Flexport raises grossly generalized attacks without substantive basis to challenge Roche's well-supported and well-reasoned reports and testimony. These attacks should be discounted by the Presiding Officer as unsupported distractions from Flexport's Shipping Act violations.

⁴⁷ Elsewhere, Flexport alleges that Peloton designated its damages expert, Greg Smith, after the discovery deadline. Opp. Br. at 3 ("Peloton, through its "expert" *designated after the discovery deadline*, provides..."). Flexport does not provide this assertion and it is patently false, as Peloton designated all of its expert witnesses, and notified Flexport accordingly, on December 19, 2024, in accordance with the scheduled order.

Courts disqualify experts for conflict reasons only in circumstances far removed from those present here—typically in “side-switching” cases, in which an expert originally retained by one party subsequently switches sides to consult for that party’s adversary, or cases in which an expert is affiliated with an expert retained by the opposing party. *See Mayer v. Dell*, 139 F.R.D. 1, 3 (D.C. Cir. 1991). Disqualification requires (1) an objectively reasonable belief by the party seeking disqualification that it had a confidential relationship with the expert, and (2) disclosure of confidential or privileged information by the party to the expert. *Id.* (finding disqualification improper absent a confidentiality agreement or an understanding of confidentiality). *Id.* at 3; *see also Ascom Hasler Mailing Systems, Inc. v. USPS*, 267 F.R.D. 9, 12-13 (D.C. Cir. 2010); *Junger v. Singh*, 514 F.Supp.3d 579, 598-99 (W.D.N.Y. 2021).

No objectively reasonable person would believe that participation in a large industry group created a “confidential relationship” between Flexport and Roche, and Flexport has cited no contracts or agreements demonstrating any such “confidential relationship” was established. The Opposition also does not cite to any record evidence that Flexport disclosed actual confidential or privileged information to Roche pursuant to that established confidential relationship, much less that such information relates to the issues in this case. “Disqualification ordinarily should not occur where a confidential relationship existed, but no privileged relationship information was communicated, or, alternatively, where no confidential relationship existed but privileged information was nonetheless disclosed.” *Mayer*, 138 F.R.D. at 3. The burden is on the party seeking disqualification, and courts recognize a “strong policy objective against disqualification” to ensure that experts with specialized knowledge remain accessible. *Ascom*, 267 F.R.D. at 12-13.

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Flexport's assertion that Roche's participation in NCBFAA⁴⁸ subcommittee meetings create a conflict merely because Flexport's Ryan Tanner also attended these same meetings falls short of this standard. Opp. Br. at 51. There was no expectation of confidentiality between Tanner, Roche, or anyone else attending these meetings, no information pertaining to this litigation was discussed, and no privileged information shared. Both Roche's and Tanner's participation was limited to routine industry dialogue. *See* CXB-3074-3075, CXB-3089-3090, CXB-3309-3310, Roche Dep. Tr. 100:20-101:24 (explaining the purpose of the subcommittee meetings was to disseminate information about the industry), 115:3-116:16 (discussing Tanner's involvement with NCBFAA as a member), 335:16-20 [REDACTED]

[REDACTED] 336:23-337:19 (describing a typical subcommittee meeting.). This fails both steps of the disqualification test applied by the courts. Moreover, policy objectives significantly weigh in favor of Roche serving as an expert—if every expert who participated in professional organizations were to be disqualified, there would cease to be professional organizations and/or experts.

Additionally, Flexport's criticism of Roche for making "sweeping conclusory statements" and for "blasting" Flexport's expert's opinions is unsupported by any specific examples, standards, or citations. Opp. Br. at 51-52. Roche's rebuttal was timely served in accordance with the scheduling order, and his critique is both permissible and expected in expert rebuttal. This pattern of unsupported argument extends to Flexport's reliance on the deposition transcript to allege obstruction or unethical conduct by Peloton's counsel. Opp. Br at 51. A review of the transcript,

⁴⁸ NCBFAA stands for the National Customs Broker & Forwarders Association of America, Inc. <https://www.ncbfaa.org/about-ncbfaa>.

confirms that Peloton’s counsel acted within the bounds of the deposition process, despite extraordinarily unprofessional behavior by Flexport counsel and Flexport’s blatant attempt at witness tampering. In fact, Roche himself had to correct Flexport’s falsities on the record due to Flexport counsel’s repeated threats and accusations. CXB-3111, Roche Dep. Tr. 137:2-10 (“I’ll put something on the record. We don’t have any code. These are my answers and I’m giving you my answers straight. So there’s no code involved here.”).

Finally, Flexport’s characterization of Roche’s report as an “advertisement” for Mohawk Logistics is nothing more than rhetorical flourish. Opp. Br. at 52. The report itself contains substantive industry analysis and comparative data directly relevant to the issues in dispute, not promotional content. Flexport’s attempt to manufacture impropriety is entirely unsubstantiated and serves only to divert attention from its own violations of the Shipping Act. Rather than addressing the substantive issues at hand, Flexport resorts to baseless allegations in an effort to distract from its own violations.

2. Flexport’s Speculations over Peloton’s Audit are Unsupported, Contradictory, and Irrelevant to Flexport’s Shipping Act Violations

Flexport’s conjecture about a 2023 Peloton’s internal audit attempts to manufacture controversy where none exists. This focus is misplaced—Peloton’s initial brief on the merits did not rely on the audit or its findings as the basis for its claims. Rather, Peloton’s case was grounded in contemporaneous shipping records during the relevant period of 2020-2022, invoice data, and Flexport’s own documentation.

Notably, Flexport never moved to compel Peloton’s audit on the grounds that privilege has been improperly asserted, and in fact recognizes in its brief that legal counsel was consulted by

Peloton’s employees during their preparation of the audit. *See* Opp. Brief at 42.⁴⁹ Flexport instead chooses to engage in wild conjecture that, apparently, both outside counsel and Peloton “intentionally concealed documents which go to the very heart of its claims.” Opp. Brief at 43. This allegation is easily refuted; Peloton neither concealed the audit, nor does it go to the “heart of its claims.”

In fact, Peloton disclosed the audit to Flexport in its initial privilege log, served on Flexport counsel on January 10, 2025. Peloton then updated those privilege log entries with the additional details ordered by the Presiding Office on July 15, 2025. Additionally, as noted extensively in Flexport’s brief, Peloton’s witnesses answered hundreds of questions regarding the preparation of the audit, its contents, and the timeline for the review. This is the opposite of concealment—Flexport only knows about the audit because Peloton told Flexport about it. *See* PRPFF ¶ 41.

The audit also does not go to “the heart of” Peloton’s claims, as evidenced by the fact that Peloton did not rely on it *at all* in its brief on the merits. Rather, as Peloton’s witnesses attempted to explain, the “audit” was an evolving process that did not begin as a concerted effort to look only into Flexport-related charges, but rather, a holistic assessment of charges during the Relevant Time Period. *See* PRPFF ¶¶ 59-61. The heart of Peloton’s claim is not the audit, created after the Relevant Time Period, but rather contemporaneous communications and shipping documents directly related to Peloton Shipments for which it now seeks reparations.

Flexport is also wrong to the extent it suggests that Peloton has improperly withheld the audit on the basis of privilege, and in its mischaracterization of Peloton’s witnesses’ testimony on

⁴⁹ This is oddly contradictory from Flexport’s earlier statement that “it is far from clear that any attorney was involved with the production of these documents at all.” Opp. Br. at 39. Flexport seems to want it both ways—asserting that no attorney was involved in the preparation of the audit on page 39 and accusing Peloton’s outside counsel of being directly involved on page 42-43.

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the history and circumstances of the audit. To be clear, Peloton’s former Senior Director of Transportation, David Baitman, testified that in 2023 he formed a new team called the [REDACTED]. CXB-2652, Baitman Dep. Tr. 44:6-12; CXB-2088, Beyar Dep. Tr. 41:15-21. Mr. Baitman explained that this audit was prompted by concerns over substantial charges—particularly from Flexport—and initial findings revealed potentially unreasonable assessments for D&D and other accessorial fees. CXB-1549, Peloton 143(b)(6) Dep. Tr. 62:25-63:17. Peloton transportation and logistics employee, David Beyar, testified that he initially compiled a working document listing only the top hundred invoices and charges, which eventually evolved into a comprehensive audit sheet. CXB-1613-1614, CXB-1617, Peloton 143(b)(6) Dep. Tr. 126:15-127:5, 130:8-9 (“[REDACTED]”); B-2207, Beyar Dep. Tr. 160:25-161:8. Contrary to Flexport’s assertions, the testimony does not indicate that this early document contained each and every invoice audited. Opp. Br. at 37 (citing CXB-1563-CXB-1564 (Peloton 143(b)(6) Dep.) at 76:10 – 77:10.15).

Mr. Baitman testified that by September 2023 he began discussing the audit findings with in-house counsel, specifically Perri Michael, as reflected in Peloton’s privilege log. CXB-1548, Peloton 143(b)(6) Dep. Tr. 61:21-62:6. These discussions led to coordination between the audit team and legal counsel, with the audit sheet being developed in tandem with legal guidance. Opp. To Mot. to Dismiss (citing Peloton 143(b)(6) Dep., Ex. 3, at 120:16 (“A. The audit sheet was done in coordination with counsel.”)). A retrospective review commenced around October 2023. Peloton PFF ¶ 242 (citing CXB-2088-2089, Beyar Dep. Tr. 41:22-42:18); CXB-2783, Baitman Dep. Tr. 175:17-24. Ms. Majstorovic confirmed that Mr. Baitman had conversations with counsel regarding the need for a more detailed audit, which was initiated in the latter half of 2023. CXB-

1545, Peloton 143(b)(6) Dep. Tr. 58:6-13. As such, Peloton's has appropriately asserted privilege over the audit document, which Flexport has not actually sought to challenge by seeking a review of this designation or to compel production.

Also misrepresented is Ms. Majstorovic's testimony regarding "emails" about the audit: Ms. Majstorovic testified to reviewing many emails in preparation for her deposition including emails from Mr. Beyar regarding improperly assessed D&D charges, not specifically emails providing any updates on the audit itself. Opp. Br. at 39 (citing CXB-1923-CXB-1924 (Majstorovic Dep.) at 85:20 – 86:4); *see* CXB-1921, Majstorovic Dep. Tr. 83:16-22. Further, *as Flexport notes*, Peloton testified that the audit was maintained as a "[REDACTED]" within a Google Suite spreadsheet. Flexport's characterization appears to *overlook* the collaborative nature of such documents, as Google Suite spreadsheets are designed to be continuously updated by multiple contributors, with the working version reflecting the most current information.

Flexport's contradictory arguments concerning the audit based on generalizations of misstated deposition testimony serve primarily as a distraction from the core issues in this case. Flexport simultaneously asserts both that Peloton's claims lack any basis (Opp. Br. at 2), and that the audit is the very foundation of those claims (Opp. Br. at 6). Flexport also asserts that "the very documents from the Core platform" were reviewed when Mr. Beyar "conducted his audit." If true, then all of that data was maintained by Flexport, not Peloton. Flexport's arguments about the audit document should be seen for what they are—more diversionary tactics—and should be set aside.

**3. Flexport's Attempts to Undermine Peloton's Discovery Responses
Reveal its own Systemic Failures and Critical Discrepancies in its Container
Records and D&D Charges**

Flexport further attempts to undermine Peloton's discovery responses by extensively discussing Appendix 1 to Peloton's Third Supplemental Interrogatory Responses ("Appendix 1")—arguing it is inadmissible because it was not maintained in the ordinary course of business

and further alleging that the data is incomplete and inaccurate. Opp. Br. at 55-56. Flexport also makes additional baseless accusations, alleging that Peloton’s counsel selectively chose dates to exaggerate the interval between empty container notifications and actual pickups and that Peloton withheld underlying communications and documentation. Opp. Br. at 32.

These arguments are just additional red herrings. It is no revelation that Appendix 1 was prepared by Peloton counsel—Peloton *told* Flexport that in its Third Supplemental Interrogatory Response. *See* CXF-0026-27, Peloton’s Third Suppl. Response to Flexport’s First Set of Interrogatories (“Appendix 1 was assembled by counsel and is not a business record maintained by Peloton...throughout the relevant period, Peloton reasonably relied on Flexport to maintain the information it requests in Interrogatory 15, in accordance with Flexport’s obligations under 46 C.F.R. 515.33, including but not limited to, information from Flexport’s Warehouse App, email, and telephone communications.”). In direct response to the Presiding Officer’s June 30 Order, Peloton created and produced a spreadsheet reflecting all available data in its possession. It is important to note that this spreadsheet was not maintained in the ordinary course of Peloton’s business, nor was there any agreement or expectation between the parties that Peloton would be required to maintain such a compilation. Furthermore, Peloton does not rely on Appendix 1 to support its claims in its initial brief, which refutes Flexport’s claim that Peloton selectively chose dates to exaggerate the interval between empty notifications and pickups. What Flexport’s response does reveal, however, are the inconsistencies and reliability of their own data to support Flexport’s D&D charges.

To “refute” Peloton’s Appendix 1, Flexport produced its own spreadsheet, cross-referencing Appendix 1 with data from the Events Downloads and its internal records, purportedly to identify discrepancies in the reported dates and the calculation of D&D days. RX0006.

Flexport's spreadsheet does not serve as a rebuttal to Peloton's discovery responses; rather, it highlights the systematic discrepancies that raise concerns about the accuracy and accountability of Flexport's reporting, which are central to the current dispute.

Indeed, Flexport's *newly produced* spreadsheet frequently conflicts with the data produced by Flexport in its Events Download. The chart below illustrates specific instances where Flexport's documented Delivery Dates⁵⁰ do not align with the Empty Return Dates from its own records. For

⁵⁰ This pattern of inconsistency is evident across multiple sources of Flexport's own data, including its invoicing, the Peloton Events Download, and the Peloton Shipments Motor Carriers Spreadsheet. For instance, the invoice (RX077-0078, Invoice FLEX-1373426-1) for shipment FLEX-1373426 lists a single delivery date of April 1, 2022, for eight containers. By contrast, the Peloton Events Download records eight separate entries, each stating "Cargo delivered to DC – Hesperia, CA" with delivery dates ranging from March 29, 2022, to April 4, 2022. CXD-2647, Events Download. Further compounding the issue, Flexport's Motor Carrier Spreadsheet (RX241) provides yet another set of delivery dates for these same containers:

- TELU6017954: April 1, 2022
- CULU6249785: April 1, 2022
- CULU6032146: April 1, 2022
- YYCU6002803: March 31, 2022
- FFAU4239758: March 31, 2022
- CULU6240664: March 30, 2022
- TRHU5572230: March 29, 2022
- XYLU8094281: March 28, 2022

These discrepancies make it impossible for the Presiding Officer, let alone Peloton, to determine which of Flexport's records should be considered authoritative. Flexport's Motor Carrier Spreadsheet was developed by Ryan Tanner using data sourced from "Core." *See* CXB-0455, Tanner Dep. Tr. 186:2–11. Flexport has similarly represented that the Peloton Events Download was also generated using CORE data. Despite this, a clear explanation for the discrepancy between the two datasets remains absent. Specifically, it is unclear how Flexport was able to provide container-level delivery date details in the Motor Carrier Spreadsheet yet failed to do so in the Peloton Events Download—despite both allegedly drawing from the same underlying source. The lack of alignment among Flexport's own documents undermines the reliability of the data upon which Flexport bases its Demurrage and Detention (D&D) charges. As these records originate from Flexport and are used by Flexport to originate, calculate, and assess D&D, it was and is incumbent upon Flexport to ensure the accuracy and consistency of its own data.

each listed container, the empty return date precedes Flexport's purported delivery date—an anomaly that directly undermines the credibility of Flexport's D&D calculations.

Container No.	Flexport Delivery Date (RX6)	Empty Return Date (CXC-0191, Peloton Events Download)	Appendix Cite
ZCSU7600389	1/7/2022	1/6/22	CXC-0191, row 59989
ZCSU2556703	11/15/2021	11/13/21	CXC-0191, row 26931
ZCSU2665936	11/15/2021	11/12/21	CXC-0191, row 26749
SEGU4370574	4/8/2022	4/6/22	CXC-0191, row 89617
NYKU4869413	11/19/2021	11/17/21	CXC-0191, row 29405
ZCSU2735951	11/15/2021	11/11/21	CXC-0191, row 25889
GESU6116672	12/13/2021	12/9/21	CXC-0191, row 43724
ZCSU7299470	11/22/2021	11/20/21	CXC-0191, row 31672
NYKU4887968	1/11/2022	1/08/22	CXC-0191, row 61295
TLLU5647444	12/20/2021	12/18/21	CXC-0191, row 49677
YMMU6030988	1/19/2022	1/15/22	CXC-0191, row 65043
YMLU8864688	1/19/2022	1/14/22	CXC-0191, row 64831
TFLU4937235	11/18/2021	11/17/21	CXC-0191, row 29392
WHSU5020557	12/20/2021	12/17/21	CXC-0191, row 49553
TFLU4932948	11/22/2021	11/17/21	CXC-0191, row 29394
TFLU4944065	11/22/2021	11/20/21	CXC-0191, row 31465
TLLU4586426	11/19/2021	11/17/21	CXC-0191, row 29328
TRHU7642697	12/15/2021	12/13/21	CXC-0191, row 45945
ZCSU7931582	1/14/2022	1/8/22	CXC-0191, row 61332
WHSU5396971	12/17/2021	12/14/21	CXC-0191, row 47109
JXLU7432006	1/11/2022	1/8/22	CXC-0191, row 61360
ZCSU7504430	1/24/2022	1/17/22	CXC-0191, row 65486
BEAU5380512	3/29/2022	3/25/22	CXC-0191, row 88218
ZCSU7084596	11/22/2021	11/17/21	CXC-0191, row 29344
BMOU5463761	12/9/2021	12/8/21	CXC-0191, row 42505
UETU5747599	1/10/2022	1/6/22	CXC-0191, row 60216
TGBU6725664	12/8/2021	12/7/21	CXC-0191, row 42091
TGBU4546593	12/9/2021	12/7/21	CXC-0191, row 42081
TGBU4550171	12/8/2021	12/7/21	CXC-0191, row 42093
FCIU7252344	12/8/2021	12/7/21	CXC-0191, row 42085
EISU8208500	12/6/2021	12/4/21	CXC-0191, row 40382
WHLU5595638	12/20/2021	11/26/21	CXC-0191, row 35263
WHLU5479010	12/20/2021	12/15/21	CXC-0191, row 47807

These discrepancies further illustrate how Flexport's unreasonable D&D practice of automatically originating and charging Peloton D&D based on its Rules Tariff, without regard to the actual shipment details, dates, or reasons for delay, violated the Incentive Principle as Flexport's *own data* cannot explain why it charged Peloton \$33.7 million in D&D.

Flexport's allegation that Peloton is withholding documents is just as unfounded. Flexport references (Opp. Br. at 31) an email exchange (RX191-97, FLEXPOR 00067848) in its involving Flexport, MD Logistics (a third-party warehouse provider), and a trucking company, suggesting that Peloton should possess all information regarding when containers were emptied and that the absence of this email in Peloton's production indicates withholding. However, a thorough review of the entire email chain confirms that Peloton was not copied on these communications. The only reference to "peloton@flexport.com" within the chain pertains to Flexport's own operations team, as explicitly set forth in the parties' Standard Operating Procedures.⁵¹ This address does not correspond to Peloton or its personnel, and therefore, Peloton had neither possession nor control over these communications.

Ultimately, it was Flexport's responsibility to maintain accurate and transparent records.⁵² 46 C.F.R. § 531.12. Peloton, acting in good faith, relied on Flexport's representations of accuracy

⁵¹

2. Contacts at Flexport Origin/Destination office

- 2.1. Flexport Operations contact is peloton@flexport.com - a group email including contacts from Flexport's NY and Asia office.

⁵² Flexport attempts to negate its responsibility for tracking and preserving this information by conveniently referring to the inland transportation providers as "third-party trucker[s]." Opp. Br. at 6. However, the communications were not between Peloton and *third-party* truckers, but rather between Peloton and *Flexport's subcontracted* truckers. As established in Peloton's initial brief, Flexport had full control over the operations and communications of *its* truckers. Initial Br. 17-19.

and its legal requirements to do so. As the party seeking to enforce D&D charges, Flexport bears the burden of substantiating these shipment dates (delivery, empty return, etc.). Flexport's attempts to undermine Peloton's discovery compliance only highlight the discrepancies in Flexport's own production, and underscore the need for rigorous scrutiny and improved accuracy in Flexport's recordkeeping and D&D calculations.

4. Flexport Has Failed to Show an Adverse Inference is Warranted

For many of the same reasons addressed above, Flexport's assertion that Peloton should be subject to an adverse inference—based solely on rhetorical questions and unsupported allegations regarding the purported withholding of audit results—should be rejected. Opp. Br. at 69-70. Flexport fails to cite any legal authority, Commission precedent, or factual record to support its position. *See* Opp. Br. at 69–70. Peloton has fully complied with all discovery obligations and the Presiding Officer's orders. Peloton has provided information responsive to Flexport's requests, including details regarding facility capacity issues. *See e.g.*, CXD-1670-1726, Smith Suppl. Expert Report, Ex. 3 Flexport has not—and cannot—demonstrate that Peloton violated any discovery order or withheld any responsive evidence.

5. On the Other Hand, Peloton Has Established that It is Entitled to an Adverse Inference Against Flexport due to its Discovery Abuses

The Opposition does not contest the application of the adverse inference doctrine, nor does it provide any meaningful rebuttal to Peloton's request that the Presiding Officer draw adverse inferences from Flexport's incomplete document production and lack of transparency regarding key shipment data and internal communications. The adverse inference doctrine is a well-established principle that permits the FMC to draw negative inferences from a party's failure to produce material and relevant evidence within its possession, custody, or control. *See* Initial Br. at 75-76. Peloton has requested that the Presiding Officer apply adverse inferences due to Flexport's

incomplete production of shipment files, internal communications, and operational data from the relevant time period—material information related to the underlying causes of the disputed D&D charges. Initial Br. at 70-73, 75-76.

The Opposition does not address these points. In fact only reinforces that Flexport failed to produce key documents, as Flexport’s own appendix to the Opposition contains approximately thirty (30) pages that were *never* produced during discovery. *See* RX33-64.⁵³ There is no justification or excuse in the Opposition for this belated disclosure. Flexport has repeatedly assured Peloton that its document production contains the full extent of documents responsive to Peloton’s requests. *See* CXA-0096, Dkt. 33 Respondent’s Response to Peloton’s Motion to Compel at 7 (“[t]o be clear, Flexport produced all documents relating to every shipment for which charges were assessed as identified in Peloton’s Exhibit A.”). The sudden appearance of thirty previously unproduced pages in Flexport’s Opposition further substantiates Peloton’s questions about the completeness and reliability of Flexport’s evidentiary record.

Similarly, although Flexport maintains that it produced all information from CORE, (Opp. at 45) it is clear that this information is incomplete and that Peloton does not have access to all of CORE.⁵⁴ Flexport repeatedly asserts in its brief that “Peloton had – and continues to have – full

⁵³ The majority of the documents produced in Flexport’s appendix were produced without Bates Numbering, which further concealed which documents had been previously produced and which had not. *See e.g.*, RX33-187 (all of which do not have Bates Numbering, RX33-64 have not been previously produced, RX65-187 were previously produced but were included in the appendix without proper Bates Stamps).

⁵⁴ In regard to Flexport CORE data, Flexport’s 143(b)(6) witness testified “if a record was created, it would be within CORE, which is our operating platform.” CXB-0364, Flexport 143(b)(6) Dep. Tr. 95:7-8. Because Flexport asserts that all information from CORE is in the Events Downloads that were produced, Peloton justifiably relied on those documents the primary source of information about the Shipments when analyzing damages, *see, supra* § V.E.1. But it is clear that the Events Downloads are incomplete, including omitting all internal and third-party communications Flexport had about the Peloton Shipments, among other things. However,

access to Flexport’s Core system,” including ongoing access to both the “Warehouse App” and the broader “Core Platform.” “Core Platform.” *See* Opp. Br. at 29; *see also* Opp. Br. at 55 (“Peloton had always had, and continues to have, complete access to the Warehouse App, as well as Core, which itself reflects the data in the Warehouse App.”). According to Flexport, Peloton’s access to the CORE platform—including the Warehouse and Transmission applications—enabled Peloton to view *all* relevant shipment information, with these applications described as integrated components of the platform.⁵⁵ Flexport’s assertions are wrong for at least two reasons.

First, CORE is Flexport’s business record repository. As the creator, owner, and administrator of CORE, Flexport was required to produce all of the information from CORE. CXB-0624–0626, Peckham Dep. Tr. 126:2–128:5 (“That was that’s the system through which all operations are managed... Like that’s the entire work flow of the company.”). Fundamental principles of evidence require each party to produce its own business records, ensuring completeness, originality, and reliability. *Hickman v. Taylor*, 329 U.S. 495, 507 (1947). If Peloton were to rely exclusively on data provided through its access to Flexport’s unauthenticated portal, it would have no assurance of the information’s comprehensiveness or Flexport’s attestation to its accuracy and authenticity, thereby undermining both fairness and trustworthiness of the record.

Second, Flexport has access to significantly more information as the creator and administrator of CORE than exists in the client-facing CORE portal. The client-facing portal does not display essential information needed to understand the root causes of shipment delays and the basis for D&D charges. Nor does it contain all of the internal communications about Peloton

Flexport should not be permitted to argue that Peloton failed to meet its burden because Flexport’s records are incomplete, as it purports to do in the Opposition. That is non-sensical and circular.

⁵⁵ Peloton counsel asked for access to the Warehouse App and was denied. CXF-0138-0140, Letter to Flexport re Discovery Deficiencies; *see also* PRPFF ¶ 47.

Shipments or all communications with Flexport’s vendors(truckers, vessel carriers, etc.). It also does not contain data from the Warehouse App, further underscoring the limitations of Peloton’s access and the resulting information gap.⁵⁶ Flexport’s claims that Peloton had “full access” to CORE are unsupported and belied by Peloton’s own client facing view. Indeed, Peloton’s counsel asked for access to CORE Warehouse App, in order to verify delivery dates and empty return dates, but this request was refused by Flexport’s counsel. CXF-0138-0140, Letter to Flexport re Discovery Deficiencies; *see also* PRPFF ¶ 47.

The disparity between what Flexport produced for shipments and what Peloton can see from the client-facing portal can be illustrated through the case-study of the “Activity” entries for FLEX-ID 1075136.⁵⁷ As shown below, for June 2, 2021, the Peloton-side of CORE only shows updated times for ETD and ETA and notes from a Flexport employee to Peloton seeming to explain that the container could not be delivered because delivery appointments at the destination warehouse were unavailable.

A review of both the client-facing CORE and Flexport CORE platforms demonstrates that Peloton did not have access to all relevant shipment information. The limitations of the client-facing portal prevented Peloton from conducting a comprehensive assessment of the underlying causes of shipment delays, as key data and operational details were not made available through the interface. This lack of transparency materially impaired Peloton’s ability to evaluate and determine the basis for the delays:

⁵⁶ Even after Peloton formally requested access to the Warehouse App during this litigation, Flexport refused to provide it. *See* CXE-0039, Flexport Warehouse App SOP (The Warehouse App was accessible exclusively through a distinct tab. Upon selection, the Warehouse App would launch in a distinct application environment, separate from the CORE platform).

⁵⁷ See Fourth Declaration of K. Little. FLEX-ID 1075136 is the shipment number.

flexport

Search...

Overview

Shipments

Quotes

Bookings

Billing

Your Business

Insights

Jun 3, 2021

✓

Julisa Becerra

Trucker

Jun 3, 2021 at 6:19 pm

Updated Estimated Time of Departure (ETD)

✓

Julisa Becerra

Trucker

Jun 3, 2021 at 6:17 pm

Updated Estimated Time of Departure (ETD)

✓

Julisa Becerra

Trucker

Jun 3, 2021 at 6:16 pm

Updated Estimated Time of Departure (ETD)

✓

Julisa Becerra

Trucker

Jun 3, 2021 at 2:12 pm

Updated Estimated Time of Arrival (ETA)

📅

Delivery Appointment Scheduled for 2021-06-04 at Ingram Micro Mira Loma

Julisa Becerra

Trucker

Jun 3, 2021 at 2:12 pm

For container KOCU4161231

Container KOCU4161231 from Los Angeles, CA

Julisa Becerra

Trucker

Jun 1, 2021 at 6:48 pm

For container KOCU4161231

Container KOCU4161231 from Los Angeles, CA

Jun 2, 2021

🔔

Brandon Carey

Jun 2, 2021 at 10:00 am

No Delivery Appointments Available

Actual start time: Jun 02, 2021 at 10:00 am

✓ Resolved

👤

Brandon Carey

Jun 2, 2021 at 10:00 am

2 PARTIES

Please note we have attempted to schedule a delivery appointment with the destination warehouse. However, at this time there are no appointments available. We will update the schedule once the appointment is confirmed.

Reply

✓

Brandon Carey

Jun 2, 2021 at 10:00 am

Updated Estimated Time of Departure (ETD)

✓

Brandon Carey

Jun 2, 2021 at 10:00 am

Updated Estimated Time of Arrival (ETA)

In contrast, the Events Downloads, produced by Flexport from data contained on its internal platform, tell a much different story of what happened with FLEX-ID 1075136. While Flexport also recorded that there were no appointments available at the delivery warehouse, the internal notes clearly show that this *didn't matter*, because none of the containers in the shipment were anticipated to exit the terminal on time due to equipment shortages, congestion, and the terminal not releasing appointments in a timely manner:⁵⁸

⁵⁸ CXD-2647, Events Download.

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48199	Updated Estimated Time of Arrival (ETA)	1075136	2021-06-02 14:00:15	Brandon Carey	
48200	No Delivery Appointments Available	1075136	2021-06-02 14:00:29	Brandon Carey	
48201	Please note we have attempted to schedule a delivery appointment with the destination warehouse. However, at this time there are no appointments available. We will update the schedule once the	1075136	2021-06-02 14:00:31	Brandon Carey	
49041	LFD 06/04 Please be advise due to equipment shortages and increasing import containers and terminal not releasing appointments in a timely matter this container may not exit the terminal on 06/04. We will do our very best to get all containers out however if we are unable to pull demurrage will be due through next available appointment. Thank you.	1075136	2021-06-02 23:12:03	Julisa Becerra	
49042	LFD 06/04 Please be advise due to equipment shortages and increasing import containers and terminal not releasing appointments in a timely matter this container may not exit the terminal on 06/04. We will do our very best to get all containers out however if we are unable to pull demurrage will be due through next available appointment. Thank you.	1075136	2021-06-02 23:12:12	Julisa Becerra	
49043	LFD 06/04 Please be advise due to equipment shortages and increasing import containers and terminal not releasing appointments in a timely matter this container may not exit the terminal on 06/04. We will do our very best to get all containers out however if we are unable to pull demurrage will be due through next available appointment. Thank you.	1075136	2021-06-02 23:12:22	Julisa Becerra	
49044	LFD 06/04 Please be advise due to equipment shortages and increasing import containers and terminal not releasing appointments in a timely matter this container may not exit the terminal on 06/04. We will do our very best to get all containers out however if we are unable to pull demurrage will be due through next available appointment. Thank you.	1075136	2021-06-02 23:12:31	Julisa Becerra	
49045	LFD 06/04 Please be advise due to equipment shortages and increasing import containers and terminal not releasing appointments in a timely matter this container may not exit the terminal on 06/04. We will do our very best to get all containers out however if we are unable to pull demurrage will be due through next available appointment. Thank you.	1075136	2021-06-02 23:12:41	Julisa Becerra	
49050	LFD 06/04 Please be advise due to equipment shortages and increasing import containers and terminal not releasing appointments in a timely matter this container may not exit the terminal on 06/04. We will do our very best to get all containers out however if we are unable to pull demurrage will be due through next available appointment. Thank you.	1075136	2021-06-02 23:13:30	Julisa Becerra	
49051	LFD 06/04 Please be advise due to equipment shortages and increasing import containers and terminal not releasing appointments in a timely matter this container may not exit the terminal on 06/04. We will do our very best to get all containers out however if we are unable to pull demurrage will be due through next available appointment. Thank you.	1075136	2021-06-02 23:14:55	Julisa Becerra	

This example is included not to establish liability or damages, which Peloton has done elsewhere, but rather to discount Flexport's attempt to avoid responsibility for failing to produce critical information showing the basis for its charging practices.

Accordingly, Flexport's arguments based on relative access to its CORE system simply do not hold water, including, Flexport's argument that the Smith Report should be stricken as untimely and its attempts to defend its production on the purported basis that Peloton has access

to data from the Warehouse App⁵⁹ or Transmission Platform⁶⁰ via its CORE account. It is an absurd conclusion on Flexport's part to say that it is Peloton's responsibility to produce Flexport's own business records or that Peloton has the same level of access to the information as Flexport does.⁶¹

VI. CONCLUSION

Peloton respectfully submits this Reply Brief in further support of its claims, taking into account the importance of finding liability and damages not only for Peloton's sake, but for the sake of the shipping industry. In comments submitted in response to the Interpretive Rule, carriers opposed the proposed Rule, and instead referred to their "commercial solutions" as the proper remedy, like extending free time or mitigating demurrage and detention charges caused by circumstances outside the control of cargo interests or truckers. Some expressed concern that the Rule would trigger a wave of complaints, arguing that commercial solutions were already sufficient to resolve disputes. The Commission's responses is instructive: "[i]f, as ocean carriers and marine terminal operators claim, commercial solutions have been adequate to address

⁵⁹ Flexport has continually asserted that Peloton has access to the Warehouse App. While Peloton *used* to have access to the Warehouse App, those accounts are associated with employee email addresses. Therefore, if an employee who has access to the app is no longer employed by Peloton, then Peloton no longer has access to the Warehouse App through that account. This is why Peloton previously stated that no employees who previously had access to the Warehouse App are currently employed by Peloton, because therefore Peloton has no available account to access the App. *See* CXF-0063, Re: Peloton v. Flexport; Subpoena (JC Transport explaining that the employees who had access to the Flexport portal no longer work there and therefore JC Transport does not have access to the platform anymore).

⁶⁰ Flexport asserted that JCT Trucker "specifically stat[ed] that nearly all of its communications with Flexport were through "Transmission" – which is part of the Core Platform." While JCT Trucker (and not Flexport) did disclose that they used Transmission to communicate with Flexport, they never said that it was a part of Flexport's Core Platform. *See* CXF-0063, Re: Peloton v. Flexport; Subpoena. This is an unsupported assertion made by Flexport.

⁶¹ Moreover, Peloton's claims could not have accrued prior to May 2021, because significant information regarding the reason for the D&D charges was not provided by Flexport and therefore it took Peloton several months to assess the harm caused by Flexport's unreasonable practices.

demurrage and detention problems, then the Commission’s guidance will not lead to lawsuits.” 85 Fed. Reg. at 29648. The Commission’s foresight has proven to be accurate—adjudications have increased precisely because the so-called “commercial solutions” have failed to address the problem.⁶² Against this backdrop, the present dispute exemplifies the need for rigorous Commission oversight and a thorough evidentiary response to ensure accountability and proper adjudication of Shipping Act claims.

Flexport’s Opposition Brief merited a robust response despite its sparse legal and evidentiary citation and thin analysis. Flexport’s mischaracterizations and vagaries do not provide any basis for the Presiding Officer to rule. And in many cases, Flexport simply ignored the Presiding Judge’s Scheduling Order’s mandate that “[e]ach proposed finding of fact that the responding party denies must be followed by an exact citation to evidence that the responding party contends will rebut the evidence the proposing party claims supports the fact” by offering nothing in response.⁶³

By contrast, Peloton has squarely addressed and rebutted Flexport’s arguments, and reaffirmed the import of its evidence to establish its burden of proof. Peloton has shown that, as a result of Flexport’s unreasonable practices and procedures, Peloton has suffered actual injury directly related to Flexport’s violations of the Shipping Act and OSRA. With liability established, the FMC should order reparations be awarded to Peloton. Peloton has methodically and thoroughly established that it has suffered damages in excess of \$30 million. Peloton readopts the summary

⁶² Testimony of Commissioner Dye Before Congress, at Section VIII Adjudicatory Proceedings (July 22, 2025), <https://www.fmc.gov/articles/testimony-of-commissioner-dye-before-congress-future-of-united-states-maritime-part-1-review-of-fiscal-year-2026-federal-maritime-commission-budget-request/>.

⁶³ Scheduling Order, Dkt. 19, at 3, ¶ 3

of damages evidence proffered in the Conclusion of the Initial Brief because it was not rebutted in any meaningful way in Flexport's opposition. Initial Br. at 76-78, § VIII.

Peloton respectfully submits that the Presiding Officer should award reparations to it for those damages, prejudgment interest, and such other and further relief as is deemed just and proper. Peloton further seeks and is entitled to its attorneys' fees and costs in this proceeding in due course. 46 U.S.C. § 41305.

Dated: October 1, 2025

HOLLAND AND KNIGHT LLP

<i>By: <u>/s/ Kristine O. Little</u></i> Gerald A. Morrissey III Kristine O. Little 800 17th Street N.W. Suite 1100 Washington, D.C. 20006 Telephone: (202) 469-5497 Telephone: (202) 469-5549 gerald.morrissey@hklaw.com kristine.little@hklaw.com <i>Counsel to Complainant Peloton Interactive, Inc.</i>	 Christopher R. Nolan Allison N. Skopec 787 7th Street New York, NY 10019 Telephone: (212) 513-3200 chris.nolan@hklaw.com allison.skopec@hklaw.com <i>Counsel to Complainant Peloton Interactive, Inc.</i>	 Allison J. Luzwick 200 S. 10 th Street, Suite 1000 Richmond, VA 23219 Telephone: (804) 799-6593 allison.luzwick@hklaw.com <i>Counsel to Complainant Peloton Interactive, Inc</i>
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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the date which appears below, the undersigned served the attached document on counsel for Respondent at the following email addresses:

SPECTOR RUBIN, P.A.
Andrew R Spector, Esq.
Robert M. Borak, Esq
andrew.spector@spectorrubin.com
robert.borak@spectorrubin.com

Dated: October 1, 2025

/s/ Kristine O. Little
Kristine O. Little